

CLO Weekly

Please don't stop the Muse-ic: CLOs ability to fund the next great AI debt binge

Market Overview: Best asset to buy, best asset to sell

10-year UST touched 5.22%, highest level since 2007. Trading volume remains elevated in CLOs with \$10bn last week and \$8bn this week (by Thurs close) as investors sell par-priced CLO paper to rotate into discount fixed-rate bonds. Spreads were modestly wider by 2bps in secondary AAA to 120bps for long bonds, 109bps for short.

Where do they stand on the next big lending wave

AI-driven data center and GPU financing could become a major new growth engine for leveraged credit, creating a potential \$100bn+ opportunity for the lev loan market & thus the CLO market. CLO exposure in data center & GPU financing loans is currently around \$4.5bn, the bulk of the deals are secured by GPU contracts where the off-taker could be a BB or IG-rated company. Data center loans are currently priced around \$98-99, while GPU financing loans are mostly above par. These loans have higher margin at each rating level compared to other CLO loans. Additionally, data center infrastructure and AI-enablement service providers with ~\$9bn of exposure have delivered resilient loan performance. We consider them as a good hedge to the Software portfolio in CLOs.

While historical CLO documentation often limited project finance exposure, 2026 vintages increasingly leave room for managers to participate in AI-related data center and GPU financing. Given strong sponsor support, amortizing structures, and contracted cashflows, we believe these assets offer an attractive opportunity set, provided managers maintain prudent concentration limits and underwriting discipline. As Technology evolves, so should CLOs & the need to participate in this debt market. High supply related technicals in AI related financing offer wider risk-adjusted spreads vs fundamentals.

Q2 2026 Insurance Purchases and Dispositions

Overall, Insurance Purchased at least \$122bn of Securitized Products combined. In Q2, CLOs remains the largest sector at \$39bn total (including fund finance vehicles and CLO ETFs). In terms of Dispositions/Sales, we saw the most in CLOs with over \$10bn sales. In BSL CLOs, the net holdings change was negative, with \$25bn purchases, but \$8bn dispositions and around \$20bn in paydowns. We separately count \$5.6bn of fund finance bonds purchased by insurance. **Please email us if you need detailed insurance company purchases/sales in CLOs, RMBS and residential loans.**

Equity Aug ME returns: -7.1%, in RP -5.2%

By Aug month-end, we estimate CLO equity returned -7.1%: -22% price returns and +15% interest returns. In RP deals returned -5.2%.

Please reach out to us for the complete list of our custom "AI-risk basket" loans, exposure and trading activities.

Please see our weekly [CLO Factbook](#) for data across loans & CLOs

25 September 2026

Securitized Products Strategy
Global

US

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Refer to important disclosures on page 31 to 33.

Market Overview: rates volatility driving elevated trading

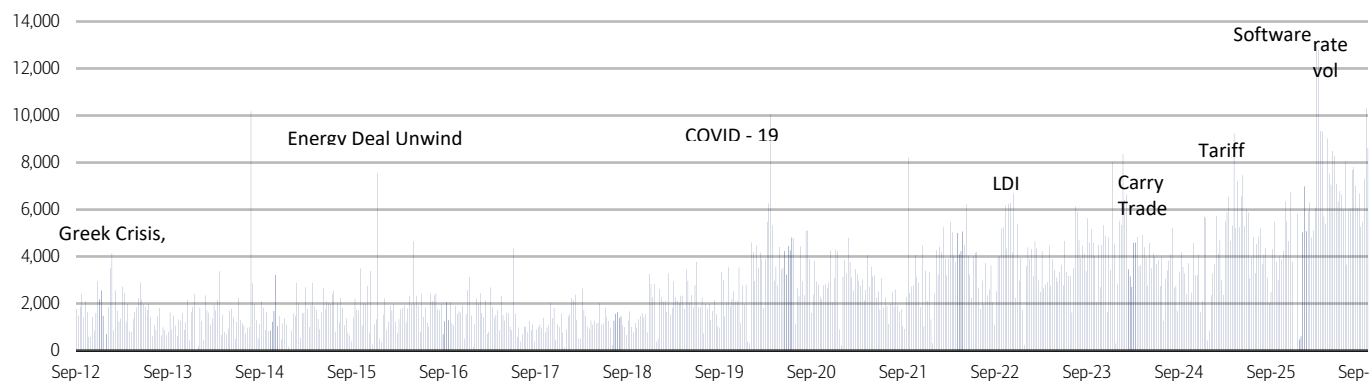
As of Friday, the 10-year UST touched an intraday high of 5.22% before settling near 5.16% as we write, the highest level since 2007. Drivers are a mix of hot business-activity data, sticky oil-driven inflation, and hawkish Fed commentary from Chair Warsh after last week's hike.

Past two weeks have been some of the busiest trading sessions (+\$10bn volume last week/\$8bn this week by Thursday) in CLOs as clients look to rotate out of par-priced CLOs into discount territory for fixed-rate. Spreads were modestly wider by 2bps in secondary to 120bps for long bonds and 109bps for short AAAs.

We reiterate: CLO AAAs are the Best Asset to buy, Best Asset to sell and recent rate vol provides just another reminder of that. With an outstanding size of \$1.2tr and AAAs at \$700bn, AAA CLOs remain the most scalable AAA floaters in Global Fixed Income. The figure below shows cumulative AAA total returns since 2015 for CLOs vs Corporate IG vs Agency mortgages vs CMBS AAA and ABS AAA.

Exhibit 1: CLO TRACE volume

CLO shows strong liquidity in market volatility

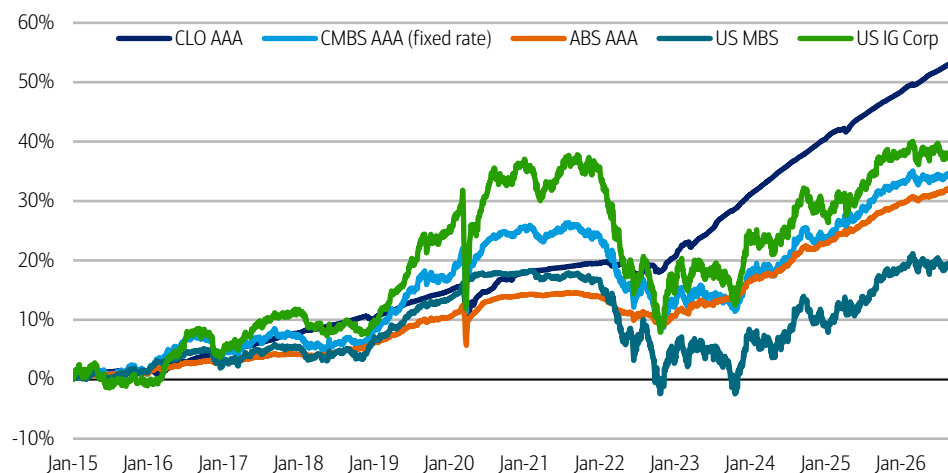


Source: BofA Global Research, TRACE

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Exhibit 2: Cumulative total returns since 2015; Floating up slow & steady

CLO AAA Floaters have been a consistent outperformer



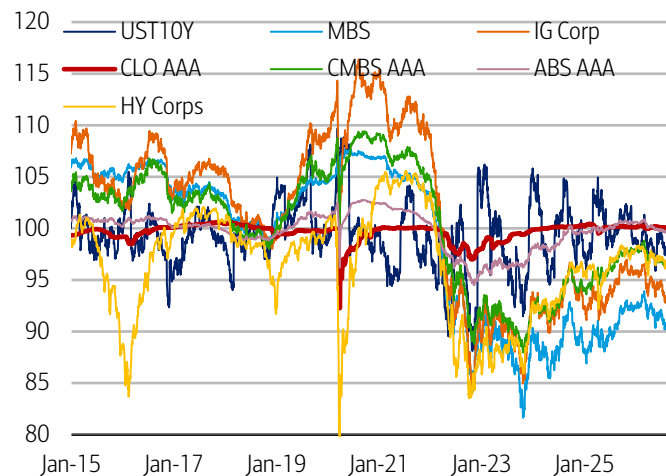
Source: BofA Global Research, Bloomberg, Palmer Square, ICE

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Exhibit 3: Price of CLO AAA, CMBS AAA, UST 10Y, MBS & IG Corps

CLO AAA shows more long term price stability vs other products

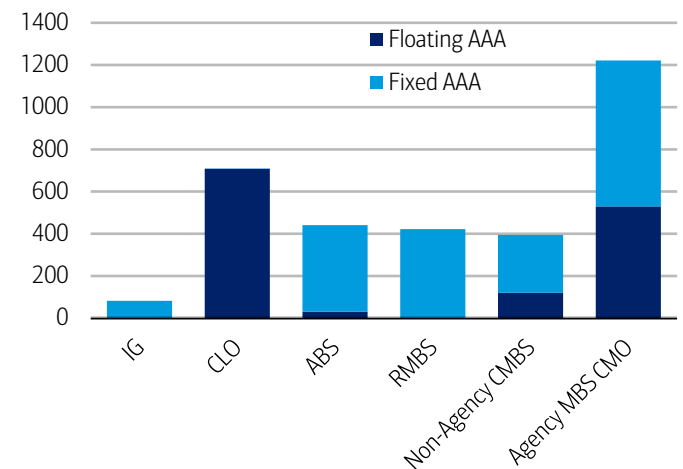


Source: BofA Global Research, Bloomberg, ICE Indices

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Exhibit 4: AAA outstanding volume (\$bn)

CLO with most of its AAA floating, represents the largest floating sector within sec products & corps.



Source: BofA Global Research, ICE

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Where do they stand on the next big lending wave

The \$1.4 trillion BSL market and \$1.5 trillion private credit debt market has seen limited growth over the past few years owing to lack of M&A and LBO activity in general. Rate hikes that commenced in 2022, followed by increased uncertainty from tariffs in 2025, back to rate hikes now in 2025-26 is keeping PE sponsors at bay from re-engaging the market.

However there is one potential area for the market to grow – and that's the **AI/Data Center related build out wave**. Estimates on how much debt funding the hyper-scalers / data center operators would need over the next few years vary but they all are well north of **\$2 trillion**. Debt issuance has been dominated by **hyper-scalers, data center related site build outs and GPU financing**. Our analysts estimate around \$630bn of debt has been issued YTD spanning Corporate IG (\$280bn), bilateral facilities (\$100bn), project finance (\$80bn), ABS/CMBS (\$30bn) among others – see [Digital Infrastructure Market Monitor: Spreads, issuance, and outstanding debt across digital infrastructure 25 September 2026](#).

The BSL market, and by extension CLOs, have been a relatively silent spectator to this debt binge. To date, we count **~\$4.5bn of data center/GPU financing** related Term loan exposure in BSL CLOs (including an infra CLO shelf by DWS). The bulk of the transactions has been dominated by GPU financing related loans with a small fraction of data center related build out exposure.

Considering debt needs are expected to grow and AI-related spreads have moved materially wider owing to technicals, we think the BSL CLO, PC CLO and Infrastructure CLO market can be one source of demand for this debt.

We think GPU Financing / Data Center term loan exposure could reach at least \$100bn and think CLOs can play an important role in financing this asset class.

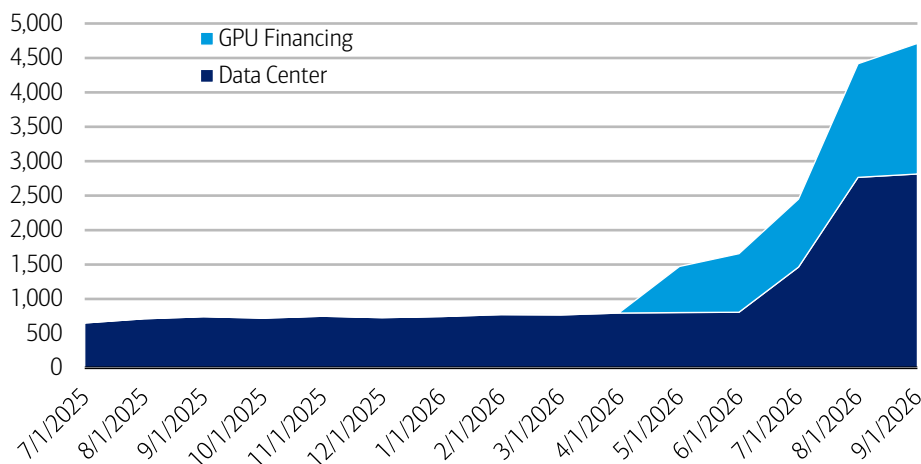
Current exposure of CLOs to data center / GPU financing term loans

We show below the outstanding exposure to data center/GPU financing term loans in BSL CLOs over time. We further split them into GPU financing vs data center site financing related exposure based on the collateral backing it.

Barring the QTS deal, the bulk of the deals that have come to CLOs are secured by **GPU contracts** where the off-taker could be a BB or IG-rated company.

Exhibit 5: CLO exposure in data center & GPU financing loans (\$mn)

The exposure has grown significantly since Q2 2026



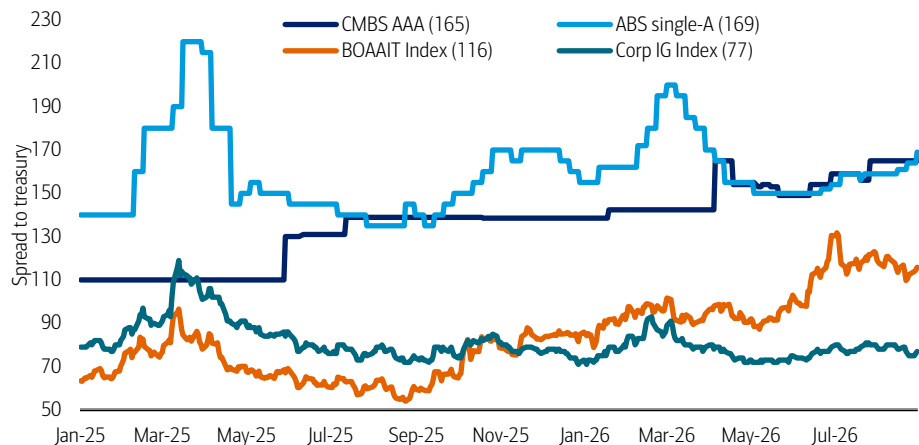
Source: BofA Global Research, Intex

Note: outstanding, post 1st pay BSL CLO deals only

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Exhibit 6: Digital infrastructure and corporate bond spreads across financing classes

Structured products trade relatively wide to the hyperscaler and IG index



Source: BofA Global Research, Bloomberg. As of 9/24/26

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Exhibit 7: AI / Data Center Debt: Capital Markets Spectrum

Overview

Type of Project	Attribute	Illustrative Example(s)	Indicative Rating	Maturity / Tenor	Indicative Spread	Guarantee Structure	Risk Type	CLO Exposure
CORPORATE / BALANCE-SHEET RISK	Investment Grade Corporate Bonds	Oracle sr. unsecured; Meta \$30bn bonds	A- to BBB	10–30 yr, bullet	UST +100–180 bps	Full parent recourse, unsecured	Corporate credit (consolidated leverage)	None (IG bond funds, insurers hold this)
	High Yield Corporate Bonds / Notes	CoreWeave Inc. B1 sr. unsecured notes	BB to B	5–10 yr, bullet	+300–600 bps	Parent recourse, unsecured, structurally subordinated	Corporate leverage (8–11x seen at CoreWeave)	Limited to HY bond baskets in CLOs
	Broadly Syndicated Leveraged Loans (BSL)	C&D Technologies B2 1L TLB; Sabre Industries; Convergent; Madison Air; Iron Mountain	single-B (B1/B2/B3)	5–7 yr	SOFR +250–600 bps	1st lien on corporate assets; sponsor-owned	Corporate credit (data-center-ADJACENT supplier)	136 distinct BSL managers hold core DC/GPU names
HYBRID	Bank loan/ Private Credit / Direct Lending (Unitranche)	Meta-Blue Owl \$27bn Hyperion SPV loan	Often unrated / shadow-rated	5–10 yr, matches contract	SOFR +400–600 bps	Non-recourse SPV, backed by take-or-pay	HYBRID – project cash flow + sponsor support	None
PROJECT FINANCE / STRUCTURED RISK	Project Finance: GPU / MSA- Collateral SPV	CoreWeave DDTL V (5/26, 7/26); CoreWeave Compute Acq. Co. VIII (Meta, A3); Lambda Compute II; IS AN03 (Iceland)	B+/Ba3 (DDTL) to A-/A3 (Meta SPV)	4–6 yr, fully amortizing	SOFR +225–450 bps	NO parent guarantee; take-or-pay offtaker (NVIDIA, Meta) + Sponsor Purchase Agreement	Project finance, capped by offtaker rating	CoreWeave DDTL V held by 85–66 distinct BSL managers, \$1.75bn total — core BSL CLO collateral, not niche
	Project Finance: Real Estate / Construction SPV	QTS/Project Magnolia & QualityTech (BSL); QTS Fayetteville/Richmond, Edged Atlanta, Switch Bighorn, Digital Carver (RREEF); Project Jupiter (\$18bn bank club loan)	Baa3 (QTS corp.) / bank club, unrated (Jupiter)	5 yr notes vs. 15+15 yr leases (renewal risk)	SOFR +225–385 bps (QTS shelf); SOFR +250 (Jupiter)	NO parent guarantee; NNN lease / tenant commitment (Oracle, hyperscaler)	Project finance; construction + refi/lease-renewal + political/permit risk	QTS corporate facilities (Project Magnolia, QualityTech Realty) = BSL only, \$2.22bn, 94–18 managers. QTS project facilities (Fayetteville x2, Richmond) + Edged/Switch/Digital Carver = RREEF (Infra CLO), \$265mm, 1 manager. Project Jupiter held by ~20 banks & not in CLOs
	Data Center ABS/CMBS Securitization	Compass Aaa deal; contracted-revenue sale structures	tranching: AAA – BB(ABS)/B(CMBS)	5yr-10yr bond term 25yr-30yr final legal maturity	5.75–7.50% fixed	Wholesale colocation: pool of lease/compute contracts Hyperscale: One lease guaranteed by lessee	CMBS: Balloon maturities, valuations, less diversified vs ABS ABS: Cashflow stability, term defaults from declining tenancy	None

Source: BofA Global Research

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Spreads vs ratings

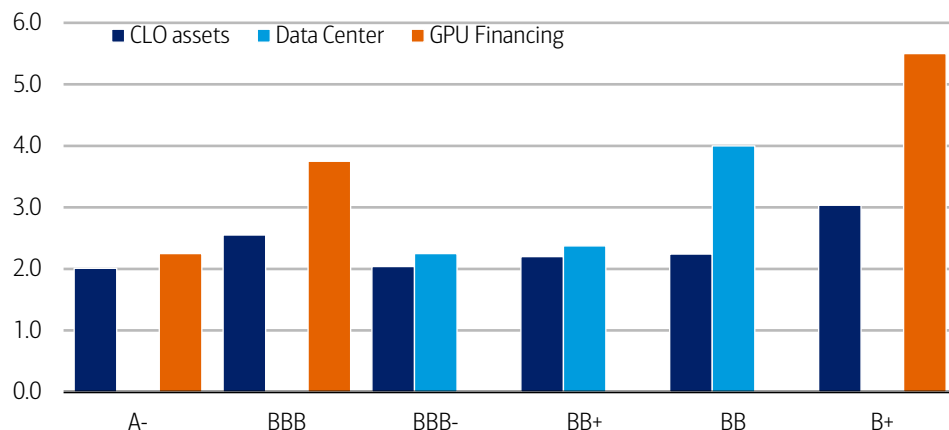
QTS as the largest data center loan in CLOs (\$1.5bn) is rated BBB-/Baa3 with a tight spread of 2.3. All data center loans see weighted average spread at 2.8. GPU financing loans, mostly Coreweave and Lamda with issuer rating B+, have WAS at 5.4.

Data center loans are currently priced around \$98-99, while GPU financing loans are mostly above par.



Exhibit 8: Gross margin of data center, GPU financing loans vs CLO general assets by rating

Data center & GPU financing loans have higher margin at each rating level compared to other CLO loans



Source: BofA Research, Intex, Bloomberg, Markit, data as of Thursday close

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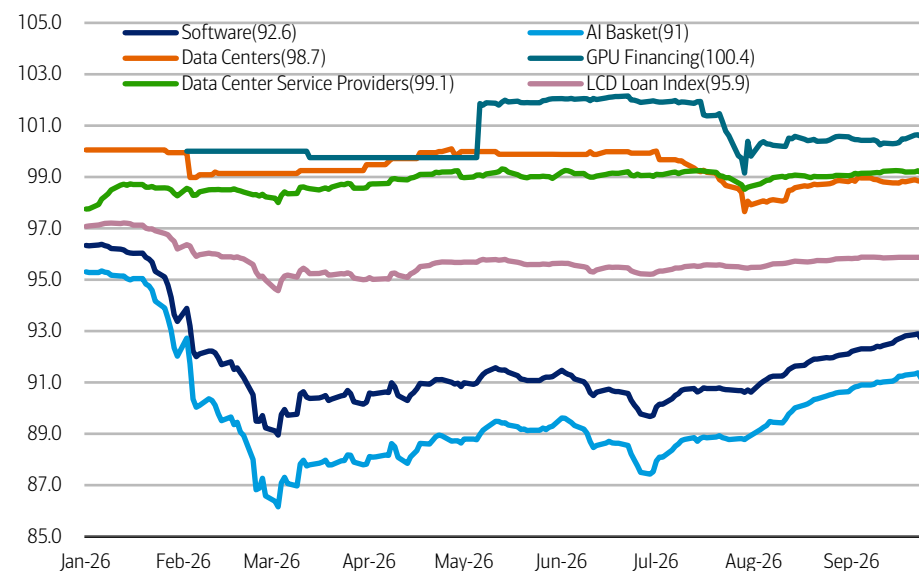
Funding the picks & shovels

We also identify service providers to the data center complex who will likely benefit from the significant build out which is taking place. We count around **\$9bn** of CLO asset exposures in such product and services, mostly in these industries: data center power/battery or electrical infrastructure provider; cooling/thermal management provider; fiber deployment & cabling, and other operation services.

Prices of AI related service providers, GPU-financing term loans have remained resilient vs the broader index. Data center related names have clearly outperformed. We consider them as a good hedge to the Software portfolio in CLOs which are at the receiving end of any potential AI disruption.

Exhibit 9: Data center, GPU financing & data center service providers vs software loans in CLOs

Data center related names clearly outperform software names and the loan index



Source: BofA Global Research, Intex, Bloomberg

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Examining deal provisions on Project Finance

Data Center and GPU financing term loans are potentially considered Project Finance type exposures – based on rating agency reports as well as how managers may consider them. Some of them derive cashflows from single-assets (one data center or GPU contract off-taker). However, in certain cases CLO managers have acquired term loans that are backed by a pool of data centers that insulates them from idiosyncratic risks.

According to data from Deal Scribe, most CLO deals until 2025 had explicit provisions to exclude debt related to Project Finance and/or non-recourse obligations. Most of the data center related activity likely comes under one of the two although opinion might vary on whether a GPU financing transaction would be considered a project finance related term loan.

In 2026 most deals, however, did not include Project Finance as an ‘ineligible’ asset class leaving the door open for CLO managers to invest in these assets.

There are around \$41bn of Project Finance related term loans in CLOs – including those from Utilities/Energy and GPU/Data Centers. **Data Center/GPUs account for \$4.7bn of project finance loan exposure in CLO assets.**

Many deals however include ‘Non-recourse obligations’ which were considered ineligible with the following exception: If the deal had a S&P issuer or/and (this varies) a Moody’s CFR rating

Based on this exclusion, **most of the GPU-financed term loans would qualify as eligible CLO assets.** We note that this definition includes other related term loans such as those in the power sector or the energy sector as well.

The GPU deals that have been in the market could be attractive to CLO managers for the following reasons:

- a) Amortizing schedule
- b) Guaranteed offtake by an entity which is BB/IG rated

Some of the Risk factors among others:

- a) Force majeure clause: Recent news around Oracle potentially exercising its right to defer rent payments highlight risk for Data Center sites – particularly those with construction and/or power contract risks.

We think CLO managers likely avoid exposure to loans with construction risks. The Data Center site loans in CLOs thus far have diversified exposure across multiple locations.

- b) Obsolescence risks: GPUs could have a smaller shelf life and that can create collateral value risks for lenders. However most deals have amortization schedules (vs bullet payments) that retire the debt before the useful life of GPUs – mitigating that risk.

This does not rule out potential idiosyncratic risks as the cashflows and collateral are after all secured by single-assets for the most part. However in the world of LMEs where recoveries have often times been sub-20% to even 0%, the phrase ‘Senior Secured Corporate Term Loan’ has often times come into question. We think CLO managers should be afforded the flexibility to analyze these loan types for consideration into CLOs. Our view is that this is a strong opportunity where lenders at least have an upper hand given supply/demand technicals and the underlying technology behind it. Having concentration limits (say around 10%) for some of these industries / projects could be one way for CLO investors to limit exposure.

With the Data Center/GPU financing potential to reach \$100bn in loans – we think CLOs should evolve with the times to fund it.



Insurance Q2 purchase

For the complete report, please see [Securitized Products Alert: 2026Q2 Insurance Investment Activity 25 September 2026](#)

Insurance Holdings Overview

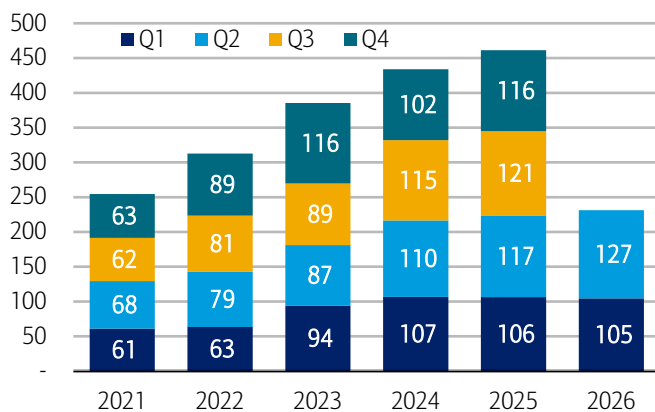
\$9.6 trillion in invested assets and cash, growing by around 6.7% YoY.

([Access link to 2026Q1 Insurance Investment activity report](#))

With over \$100bn annuity sales per quarter, Insurance has \$9.6 trillion in invested assets and cash, growing by around 6.7% YoY. Q2 was the highest ever quarter for annuity sales at \$127bn. With the 10yr rate backing close to 5.2%, we expect annuity sales to remain elevated => further reinvestment demand from insurance - for both corporates and securitized products.

Exhibit 10: US quarterly Individual annuity sales (\$bn)

Total U.S. annuity sales were \$231 billion in 2026H1. Since 2021, insurance firms have sold over \$2.1 trillion of annuities



Source: Secure Retirement Institute U.S. Individual Annuities Sales Survey

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Exhibit 11: 10Y US Treasury Yields

With higher rates, we expect to see more annuity sales and insurance SP demand

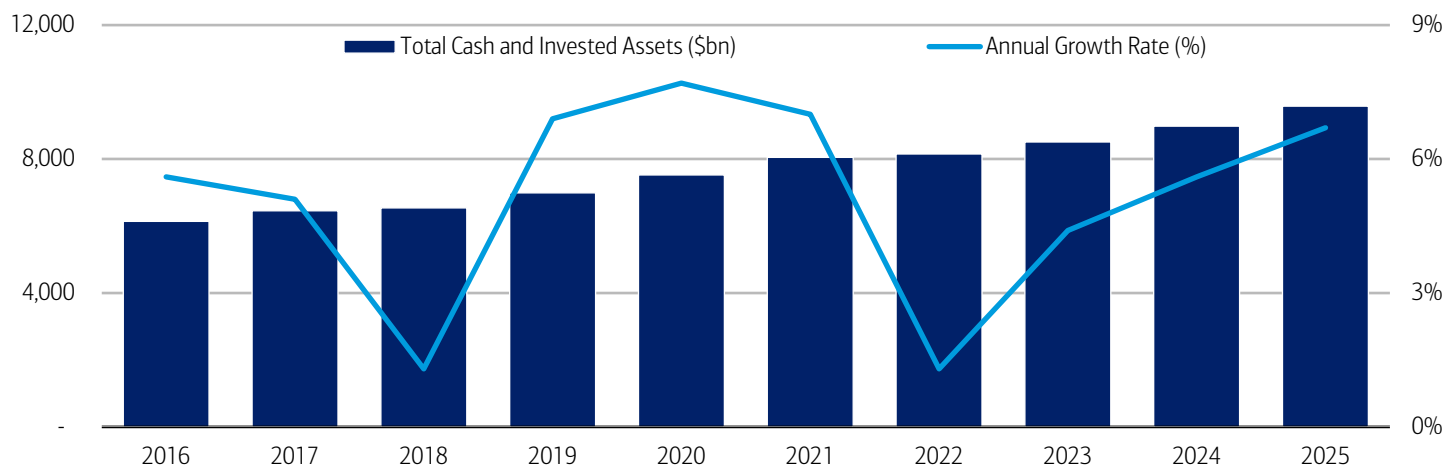


Source: Bloomberg

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Exhibit 12: US Insurance Total Invested Assets and cash at \$9.6 trillion

Insurance activity continues to grow at steady pace at around 7% with annuity growth another tailwind



Source: NAIC

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As of 2025 YE, within the \$9.6 trillion invested assets, Bonds currently account for 60% of the cohort at \$5.7 trillion. CRE and residential mortgage loans account for \$870bn (\$650bn CRE, \$150bn residential loans). There is a growing share of assets invested in Schedule BA, which reflects investments in Private Equity, funds and unaffiliated and affiliated trusts.

Within the \$5.7 trillion bond investment portfolio, corporate bonds, treasuries, Munis among others account for around \$4.1 trillion and structured product investments around \$1.6 trillion. Private placements have been a dominant component of insurance portfolios at \$2.4 trillion and public bonds, another \$3.6 trillion.

The vast majority of insurance investments in both public & private placements have been rated investment grade (92% IG rated in privates and 98% IG in public). There have been some concerns around the use of rating providers in the private market and the NAIC has instituted a CRP working committee and an independent consultant to review best practices in this particular issue.

Exhibit 13: 2025 Total Insurance Investments by Assets (\$mm)

We see that Bonds and Mortgage Loans are collectively around 70% of all insurance investments, which are growing annually at around 6%.

Asset Class (values in \$bn)	Life	P/C	Health	Title	Total	% of Total	Change vs 2024 (%)	Change vs 2024 (\$bn)
Bonds	4,000	1,522	200	6	5,728	60%	6%	304
Common Stocks	245	1,006	52	3	1,306	14%	11%	132
Mortgage Loans	833	34	2	0	868	9%	6%	47
Schedule BA/Other Long-Term Investments	415	192	32	0	639	7%	10%	60
Cash and Short-Term Investments	216	300	79	2	597	6%	6%	31
Contract Loans	151	0	-		151	2%	2%	4
Derivatives	125	2	0		127	1%	3%	3
Real Estate	22	13	7	0	42	0%	1%	0
Securities Lending (Reinvested Collateral)	32	7	3		42	0%	19%	7
Preferred Stocks	23	17	1	0	41	0%	22%	7
Aggregate Write-Ins	22	2	0	0	24	0%	1%	0
Receivables for Securities	13	2	0	0	15	0%	28%	3
Total	6,097	3,095	377	12	9,581	100%	7%	600

Source: BofA Global Research, NAIC

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The structured product portfolio is diversified across Agency and Non-Agency MBS, CLOs, ABS, CMBS and fund-finance investments. We estimate as of 2025 YE, Agency MBS were the dominant asset class at around \$276bn, followed by CLOs at \$231bn and Non-Agency RMBS at \$165bn. The figure below shows the estimated breakdown of those investments based on cusips and bonds we could map. The rest of the bonds are likely privately placed bonds such as those issued in the 4-a-2 market.

Exhibit 14: Insurance Holdings of Securitized Products 2025YE

Insurance held at least \$166bn of Non-Agency MBS and \$298bn of CLOs, representing 21% and 27% of each sector respectively. There are other unmapped bonds that could bring these numbers higher

SP Sector	Held Amount Total (\$bn)	% allocation within each sector	% of Sector Outstanding held by insurance
Agency RMBS	302	21%	3%
CLO	298	21%	27%
CMBS	289	20%	15%
Non-Agency RMBS	166	12%	21%
ABS	85	6%	9%
Others	301	21%	

Source: BofA Global Research, SNL, Intex, Bloomberg

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Insurance 2026 Q2 Purchases and Dispositions of SP Products

Insurance Purchased at least \$122bn of Securitized Products combined, this is in line with \$113bn purchased in Q1. In Q2, CLOs remains the largest sector at \$39bn total (including fund finance vehicles and CLO ETFs), comparable to the \$41bn purchased in Q1. This is followed by \$25bn of Agency MBS, which is a notable increase from \$19bn purchases in Q1.

In terms of Dispositions/Sales, we saw the most in CLOs with over \$10bn sales, followed by \$7.7bn of Agency MBS and 5bn of CMBS.

Exhibit 15: Insurance Securitized Products purchases and dispositions Q2 (\$mm)

We see CLOs comprising more than 22% of Insurance purchases, followed by 16.5% of Agency MBS and 15.7% of ABS

	Q2 purchase amount (\$mm)	Q2 disposition amount (\$mm)	% of Q2 Purchases	% of Q2 Dispositions
CLO + Fund Finance	39,309	10,568	25.3%	29.0%
Agency RMBS	25,762	7,749	16.5%	21.2%
Non-Agency RMBS	16,644	2,656	10.7%	7.3%
ABS	24,449	4,733	15.7%	13.0%
CMBS	16,802	5,092	10.8%	14.0%
Non-SP sectors	32,695	5,670	21.0%	15.5%
Total	155,660	36,468		

Note: Dispositions does not include bond paydowns from amortizations, deal calls, maturity

Source: BofA Global Research, S&P

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Exhibit 16: NAIC Ratings of insurance Q2 purchases

We see the lowest NAIC ratings for Fund finance, followed by ABS and CLOs

Insurance Q2 Purchases							
	CLO	Fund Finance	ABS	Agency RMBS	Non-Agency RMBS	Agency CMBS	CMBS
1A	47.5%	0.0%	33.9%	89.0%	70.8%	89.9%	65.4%
1B	2.8%	0.0%	1.5%	5.8%	3.0%	3.8%	0.2%
1C	19.0%	0.0%	8.7%	0.0%	4.6%	0.2%	0.6%
1D	0.9%	1.0%	3.1%	0.0%	4.2%	0.2%	12.3%
1E	2.0%	0.0%	2.2%	0.0%	0.9%	0.1%	0.9%
1F	13.3%	60.8%	12.7%	2.5%	4.1%	1.1%	1.4%
1G	1.0%	18.5%	20.3%	0.0%	3.7%	0.2%	7.5%
1Z	0.3%	0.0%	0.0%	0.0%	0.2%	0.0%	0.0%
2A	0.8%	2.6%	0.5%	0.0%	0.7%	0.1%	0.0%
2B	3.4%	13.5%	9.7%	0.0%	2.0%	0.0%	2.2%
2C	7.1%	1.7%	5.0%	0.0%	3.1%	2.3%	6.5%
2Z	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%
3A	0.1%	0.1%	0.0%	0.0%	0.1%	0.0%	0.1%
3B	0.3%	1.1%	0.4%	0.0%	0.2%	0.0%	0.3%
3C	0.6%	0.4%	0.8%	0.0%	0.2%	0.5%	0.9%
3Z	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.5%
4A	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
4B	0.2%	0.1%	0.1%	0.0%	0.3%	0.0%	0.0%
4C	0.1%	0.0%	0.0%	0.0%	0.1%	0.0%	0.1%
5A	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%
5B	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.1%
5C	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%
5G	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
6/NA	0.6%	0.0%	0.9%	2.7%	1.7%	1.7%	0.9%

Source: BofA Global Research, SNL, Intex, Bloomberg

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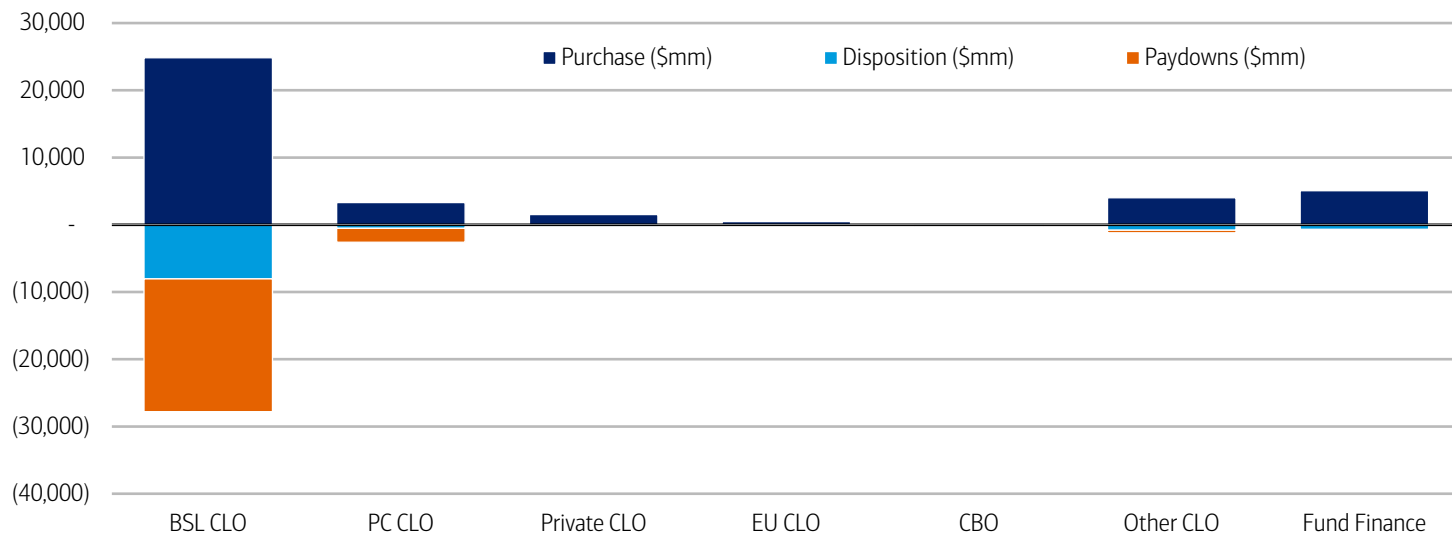
Insurance purchased \$39bn of CLOs bonds and fund finance in Q1

CLOs are the largest SP sector purchased and held by Insurance. We estimate insurance purchased \$39bn of CLOs bonds, fund finance, in Q2 (including privately placed transactions). This is in line with amount of purchases in Q1 at \$41bn. Most of the purchases was BSL CLOs with over \$25bn, followed by Fund Finance seeing \$5.6bn.

However, we did see an elevated amount of dispositions, totaling \$10bn during Q2. In BSL CLOs, the net holdings change was negative, with \$25bn purchases, but \$8bn dispositions and around \$20bn in paydowns. Additionally there were around \$2bn in PC CLO dispositions, and \$600m in fund finance dispositions.

Exhibit 17: CLO bond purchases, paydowns, dispositions by sector in Q2 2026

BSL CLO is by far the largest purchased sector, at \$24.8bn. But it also saw the most dispositions, at \$8.1bn



Source: BofA Global Research, S&P

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Exhibit 18: Insurance Purchases and Dispositions of CLO by Ratings

AAA CLO bonds account for 44% of Q2 Insurance purchases

Rating	Purchase (\$mm)	% of all Purchases	Dispositions (\$mm)	% of all Dispositions
Sr/Flat AAA	12,898	37.68%	4,069	41.15%
Jr AAA	885	2.59%	46	0.46%
AAA	1,147	3.35%	74	0.75%
AA	7,137	20.85%	1,646	16.65%
A	4,589	13.40%	1,469	14.86%
Sr/Flat BBB	2,798	8.17%	1,421	14.37%
Jr BBB	197	0.57%	87	0.88%
BBB	138	0.40%	26	0.26%
BB	262	0.77%	284	2.87%
B	24	0.07%	28	0.29%
CCC	0	0.00%	0	0.00%
C	0	0.00%	0	0.00%
No Rating	4,158	12.15%	739	7.48%

Source: BofA Global Research, SNL, Intex, Bloomberg

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Exhibit 19: Insurance Purchases of CLO by Sector and Ratings

AAA CLO bonds account for 44% of Q2 Insurance purchases

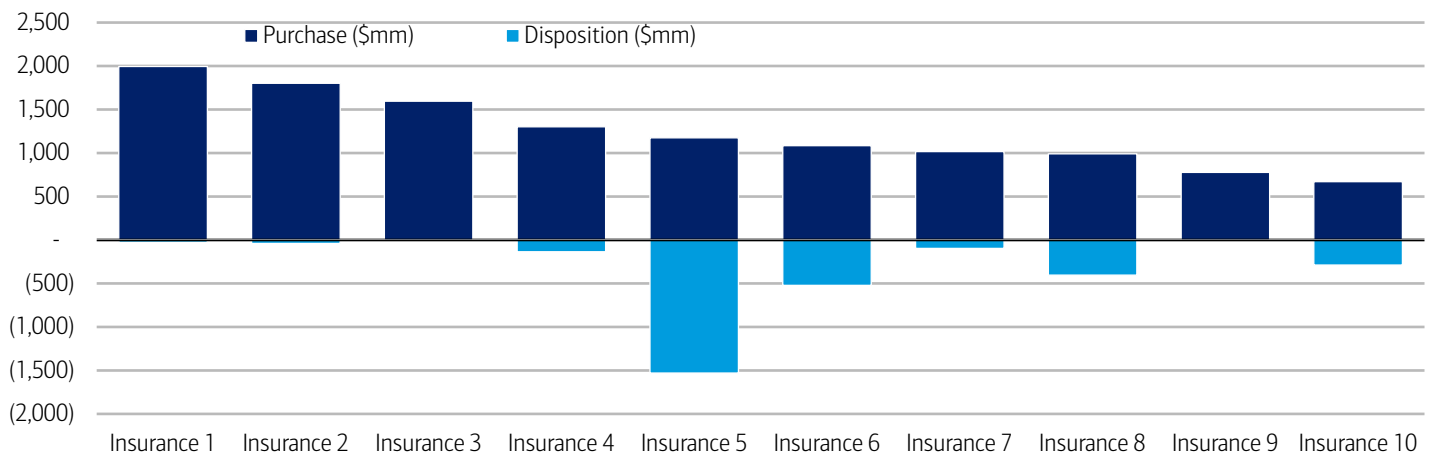
Rating	BSL CLO	CBO	EU CLO	Other CLO	PC CLO	Private CLO
Sr/Flat AAA	44%	23%	0%	1%	55%	0%
Jr AAA	4%	0%	0%	0%	0%	0%
AAA	0%	0%	0%	42%	0%	0%
AA	24%	19%	0%	16%	22%	0%
A	15%	17%	0%	8%	17%	0%
Sr/Flat BBB	11%	26%	0%	0%	3%	0%
Jr BBB	1%	0%	0%	0%	0%	0%
BBB	0%	0%	0%	5%	0%	0%
BB	1%	15%	0%	2%	0%	0%
B	0%	0%	0%	1%	0%	0%
CCC	0%	0%	0%	0%	0%	0%
C	0%	0%	0%	0%	0%	0%
No Rating	1%	0%	100%	25%	2%	100%

Source: BofA Global Research, SNL, Intex, Bloomberg

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Exhibit 20: Top 10 insurance companies 2026 Q2 purchases of CLO bonds

The 10 largest insurance companies bought \$12.4bn of CLO bonds over the past quarter, out of \$34.2bn total purchases



Source: BofA Global Research, S&P

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Software v9.25.2026 update: Short maturity index now higher

The software market has shrugged off its weakness over the past few months as successful Amend & Extends drive a modest rally in the \$90-95 category, which has outperformed the most.

- **The short maturity index has rallied the most within Software** with the average price now at \$92.6 vs \$86.8 (+6pts) since begin of March
- **Loans currently getting refinanced likely offer some of the best value to CLO managers – higher spread, OID for par build, stronger covenants.**
- Anecdotally, some of the refinanced software loans have omni-blockers to protect creditors from LMEs.
- One of the loans that saw significant upside was that of Conga – whose price went from **\$78 to close to par** on news of an anticipated refinancing.



- Sophos, which was placed negative credit watch by S&P on account of its 2027 maturity, completed the refinance this week with the new loan sold at \$97.
- The infrastructure backed software loans are now at 93.2 vs 90.5 begin of March -> particularly driven by some of the A&E activity and an improvement in sentiment.
- The <\$80 share within software remains at **12%** though – highlighting **the binary nature of outcomes investors continue to expect as a result of AI disruption.**

The ex-software loan index has largely remained flat YTD at the \$97 mark. If ex-software loans start declining, that could be a real credit concern for the market.

S&P downgraded CDK Global to CCC from B- in early September, citing liquidity pressures from upcoming 2027 maturities and other cash obligations. Current loan price levels suggest a distressed debt exchange remains a possibility

Make amends & then extend:

Sponsors continue to chip away at the maturity wall in software. Thus far, Proofpoint, Gainwell Imprivata, Ancestry, and Athenahealth have completed their A&Es. In at least two of these, there was a bond component that got included in the transaction – which helps participating lenders to reduce their exposure as some of that exposure gets paid down into the bond. Lenders also negotiated tighter docs / higher spreads for the extension / fees – a positive for CLO equity holders (Fees typically get classified as interest proceeds). Ancestry.com is another example where the lenders were able to carve out multiple sweeteners for themselves, including high OID, in the A&E exercise.

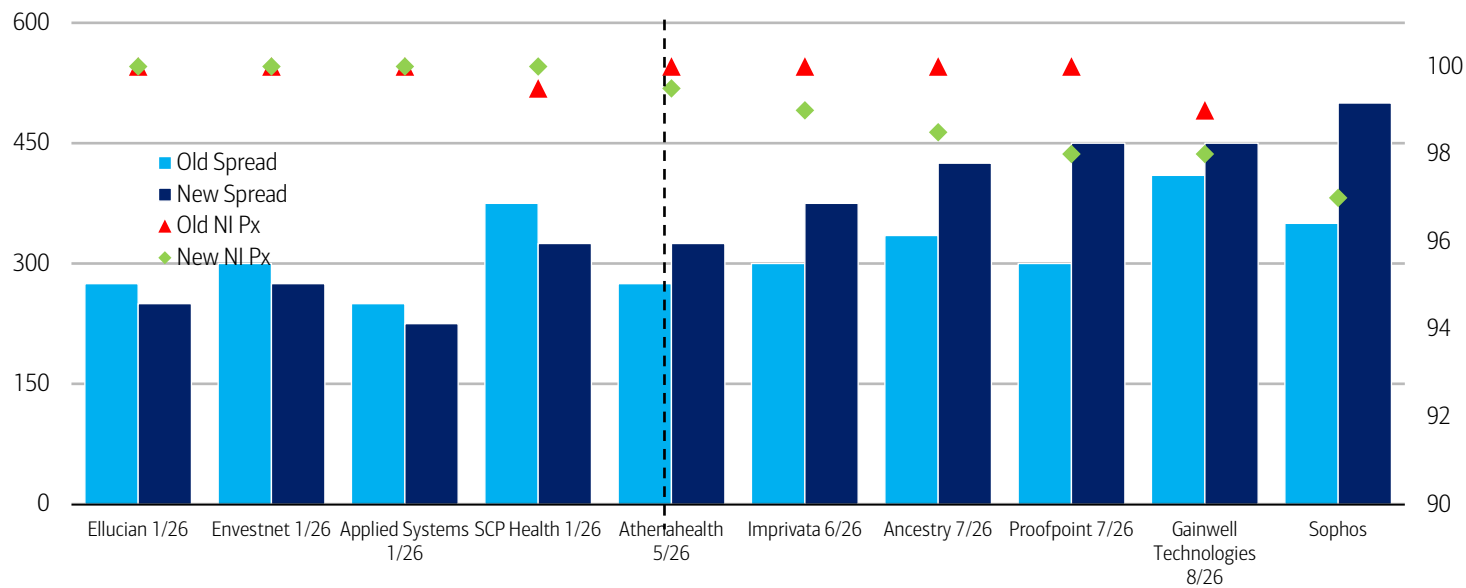
The A&E activity is a sign of healthy software names being able to address their maturity wall risks. Important to note that these software names were from vertical application or infrastructure software subcategories.

As a result, <=2028 maturity software names saw a rally since July month. Additionally, the risk of AI-disintermediation could be a more of a longer term story, rather than a short term risk. **Currently, the short maturity software index has a higher level than the broader software index.** These refis provide some succor from spread compression and offer par build opportunities for managers.

Below we show how the software lev loans market has moved from issuer-friendly repricings to lender-friendly repricings. Following the software selloff, software term loans have started repricing 50-150bps wider to the original spread and offering 1-2pts of OID- compared with just 0.5pts of OID for new issue loans as of July/Aug 2026. This is a reversal from Jan 2026 repricings where spreads tightened and OID stayed near par.

Exhibit 21: Spread and px of refinanced software TLs in 2026

Post the software selloffs, refinancings have become expensive, with steeper OIDs and wider spreads

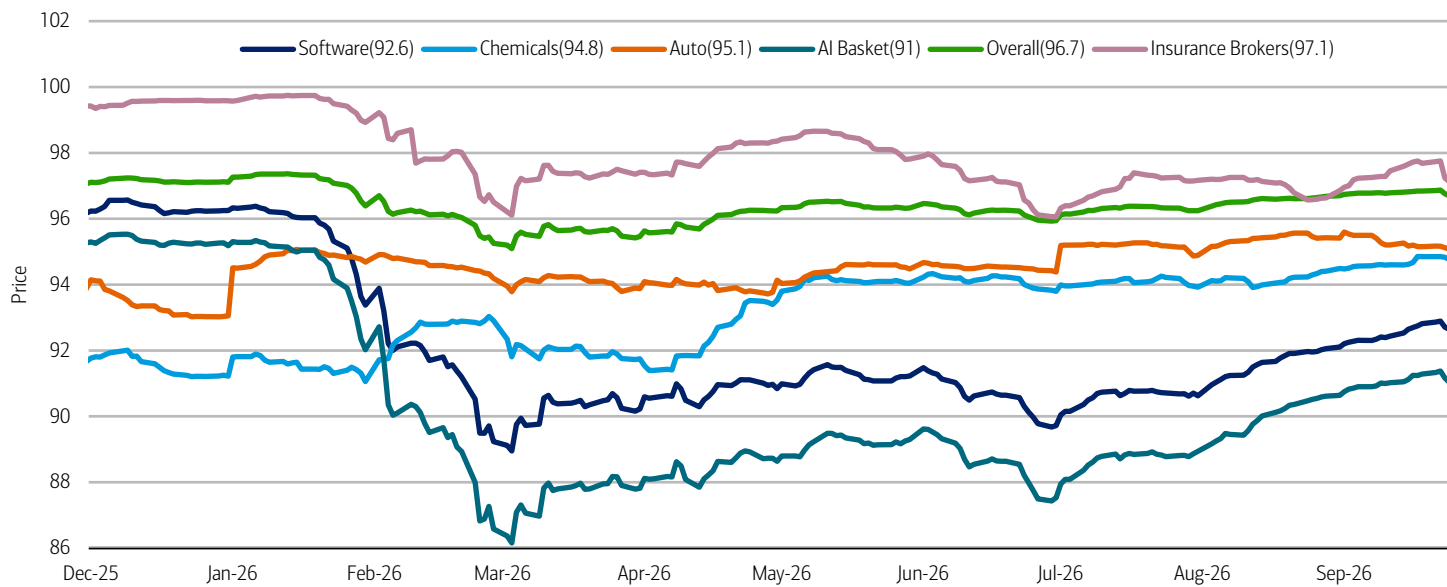


Source: BofA Global Research, Pitchbook, Bloomberg

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Exhibit 22: Loan prices by sectors over time

Software loans currently at \$92.6 rallied by half pts MTD.



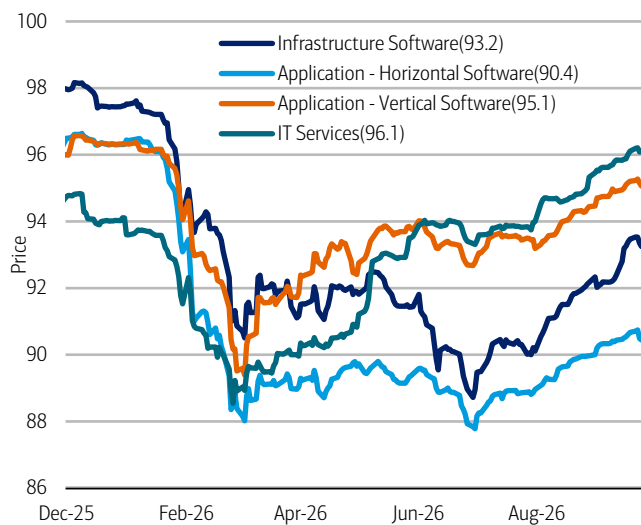
Source: BofA Global Research, Intex, Bloomberg

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Exhibit 23: WAP across software industry sub-segments and IT Services

IT Services names have rallied in price over the past couple of months

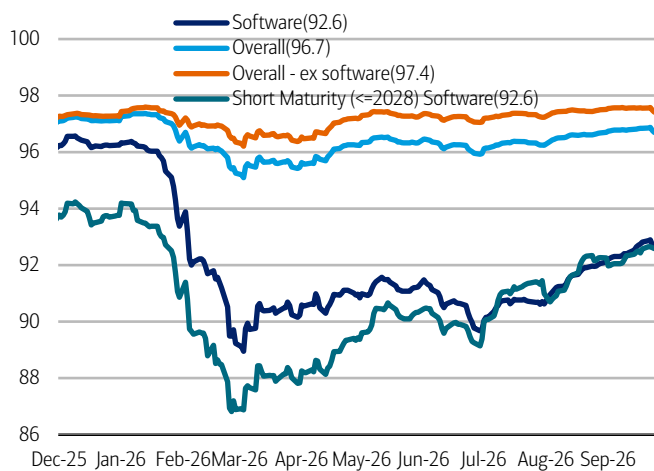


Source: BofA Global Research, Intex, Bloomberg

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Exhibit 25: WAP across software industry, overall loans, and short maturity (<=2028) software loans in CLOs

The recent rebound in software loan prices has supported a recovery in short-maturity software loans

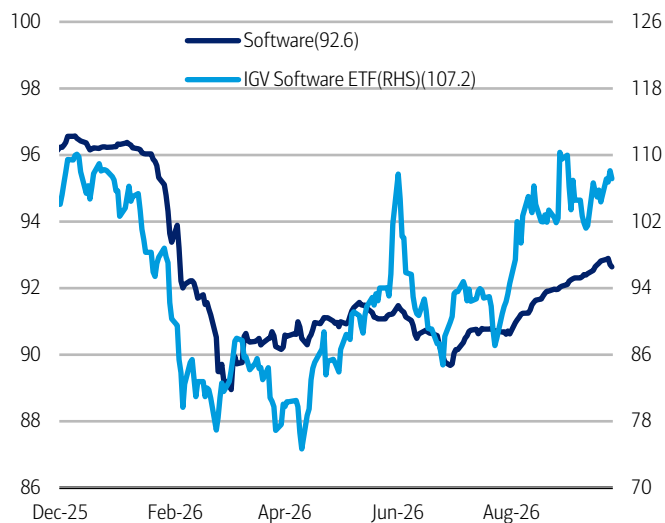


Source: BofA Global Research, Markit

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Exhibit 24: iShares Software ETF vs. Leveraged Loans (CLO WAP)

Lev loans software has been less volatile than IGV

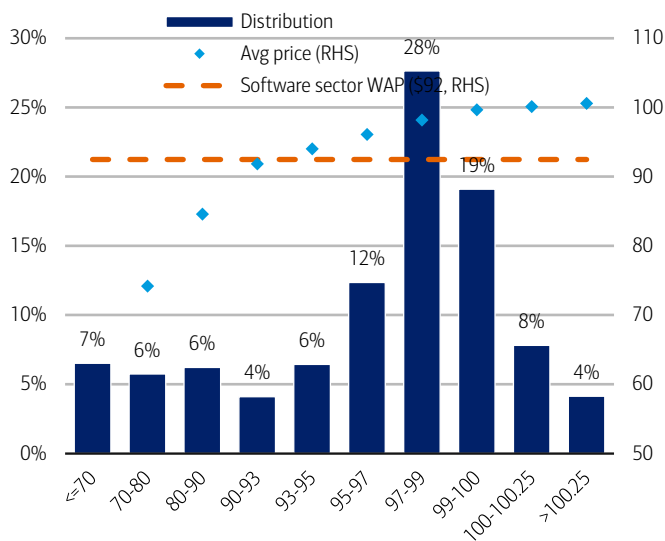


Source: BofA Global Research, Bloomberg, Markit

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Exhibit 26: Software loan price distribution

Share of above par loans has been low

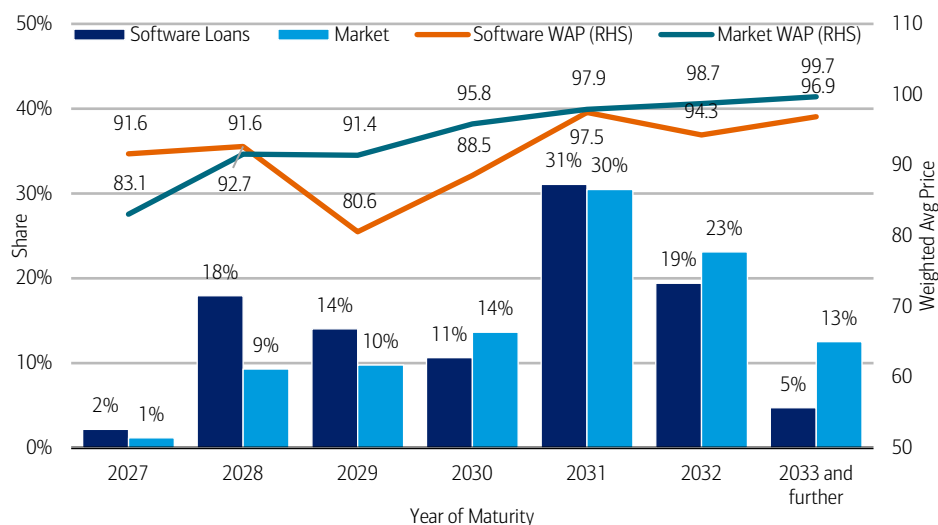


Source: BofA Global Research, Intex

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Exhibit 27: Maturity Wall for Software loans and overall market loans, with WAP for each

About 20% of the software basket has loans maturing by 2028, which presents refinancing risk, especially if they are trading at lower prices



Source: BofA Global Research, Markit

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Equity returns update

YTD returns: -7.1%, in RP -5.2%

By Aug ME, We estimate CLO equity returned **-7.1%**: **-22%** price returns and **+15%** interest returns. In RP deals returned **-5.2%**. We note that these returns are based on equity marks provided by our pricing service provider PriceServe and are partially model-based.

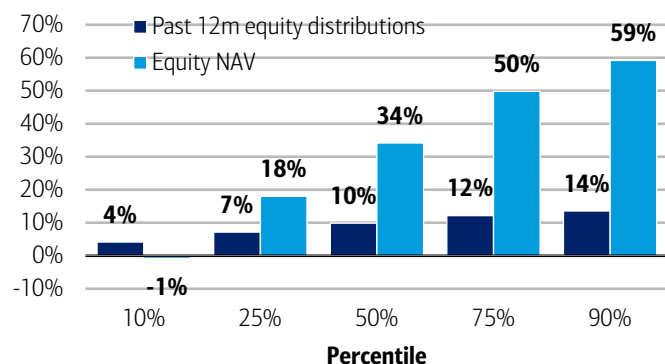
We estimate CLO equity NAV has dropped by ~7pt to ~40 for in RP bonds YTD.

The dispersion of CoC is much smaller compared to NAV: over the past 12 months, top quartile distributed more than 12% vs bottom quartile below 7%, whereas the NAV ranges from 18% to 50% for 25th to 75th percentile.

CLO equity cumulative returns lackluster due to losses in recent periods: CLO equity cumulative returns at 14% since 2022, vs CLO AAA at 29% and CLO BB at 61%.

Exhibit 28: Past 12M Equity distribution vs NAV

NAV dispersion > cash distributions

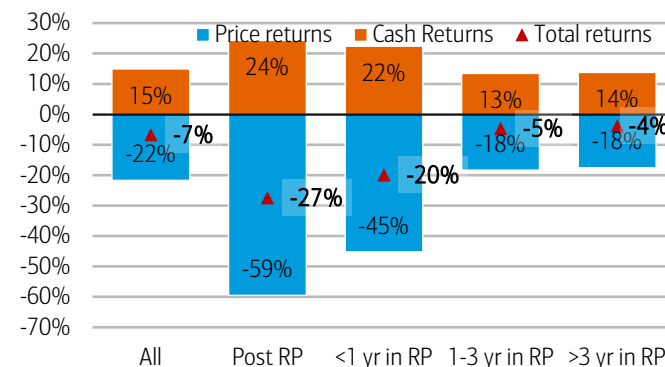


Source: BofA Global Research, Intex

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Exhibit 29: 2026 price return & cash return

By Aug ME, in RP deals returned -5.2%



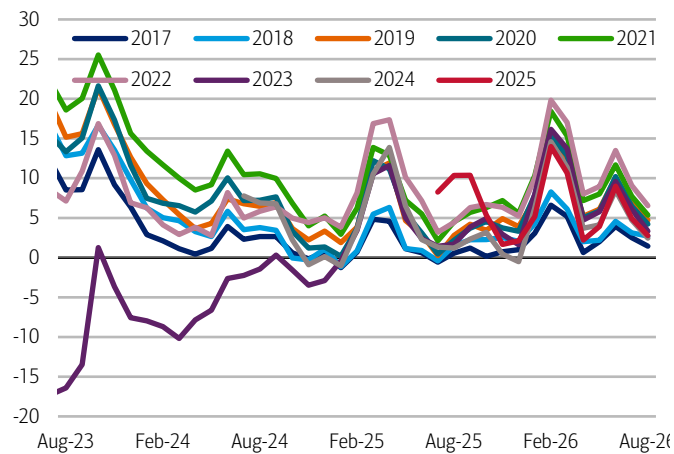
Source: BofA Global Research, Intex, PriceServe

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Exhibit 30: Median price premium over NAV by deal vintage over time

Premium picked up in NAV drop

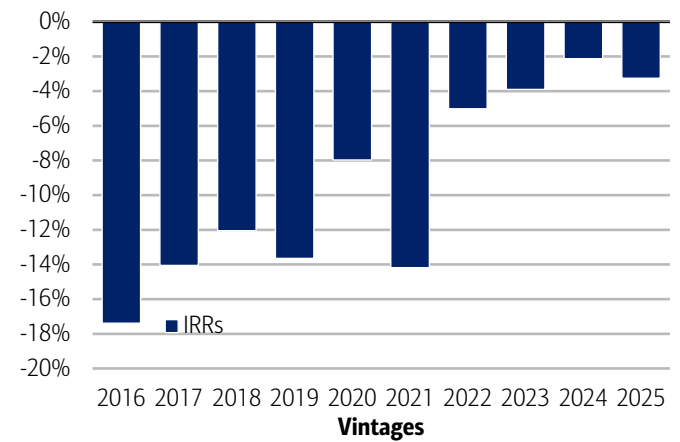


Source: BofA Global Research, Intex, PriceServe

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Exhibit 31: 2026 Median CLO Equity IRR by deal vintage

Long CLO equity returns outperformed

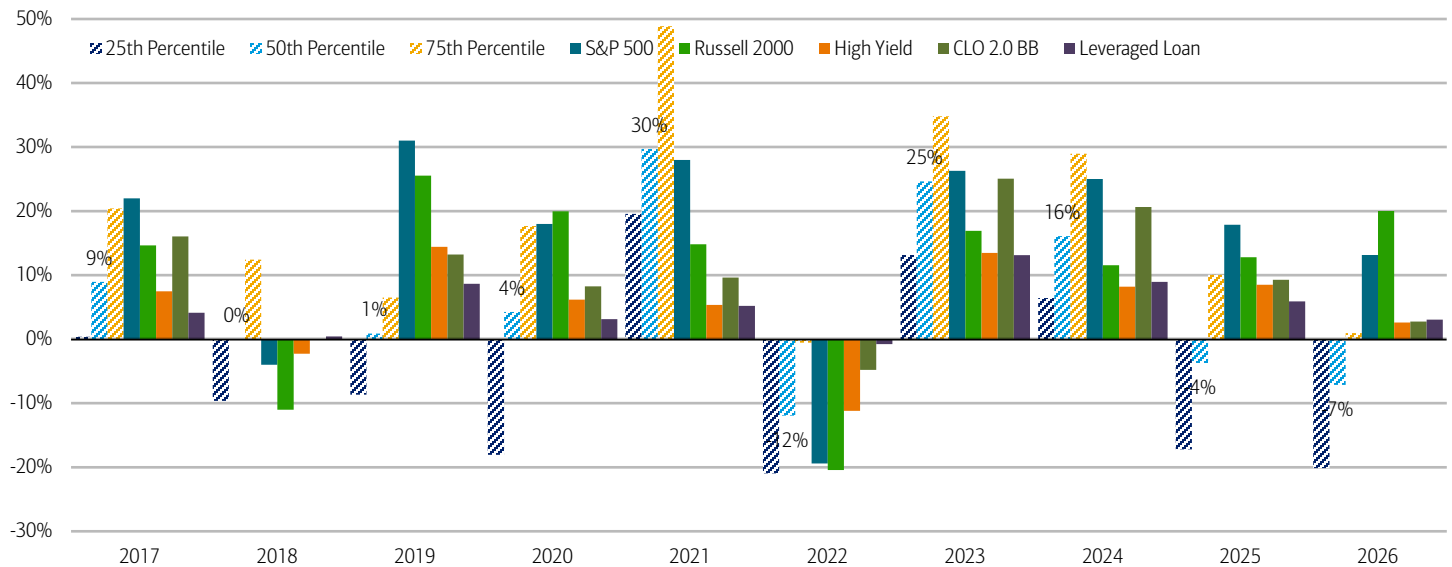


Source: BofA Global Research, Intex, PriceServe

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Exhibit 32: CLO equity returns distribution - secondary markets each calendar year

We estimate CLO equity YTD returns negative

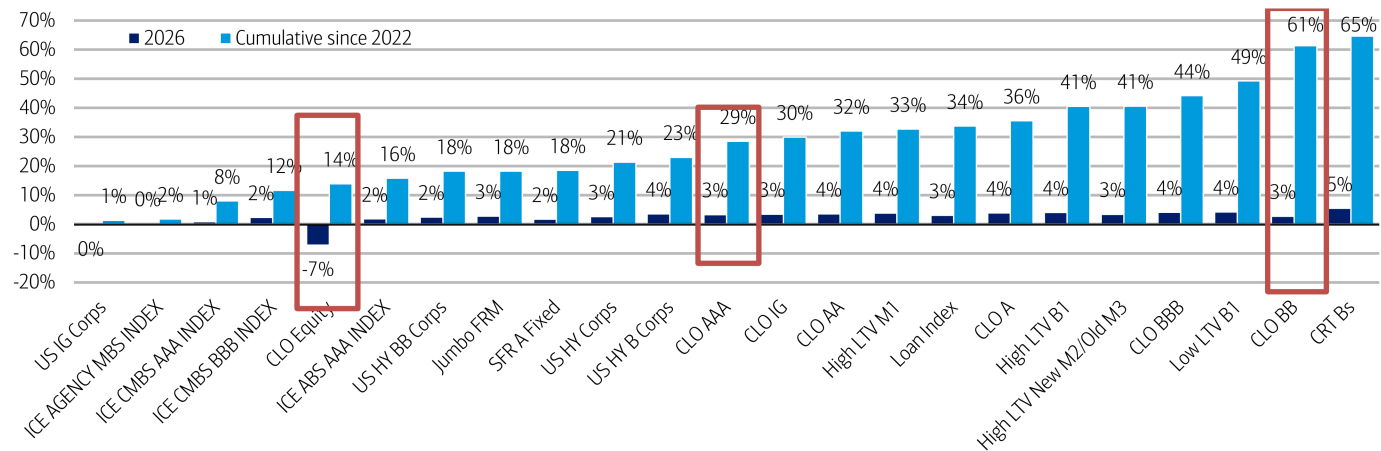


Source: BofA Global Research, Bloomberg, Intex, PriceServe

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Exhibit 33: 2026 YTD & Returns since 2022

CLO equity cumulative returns lack luster due to losses in recent periods

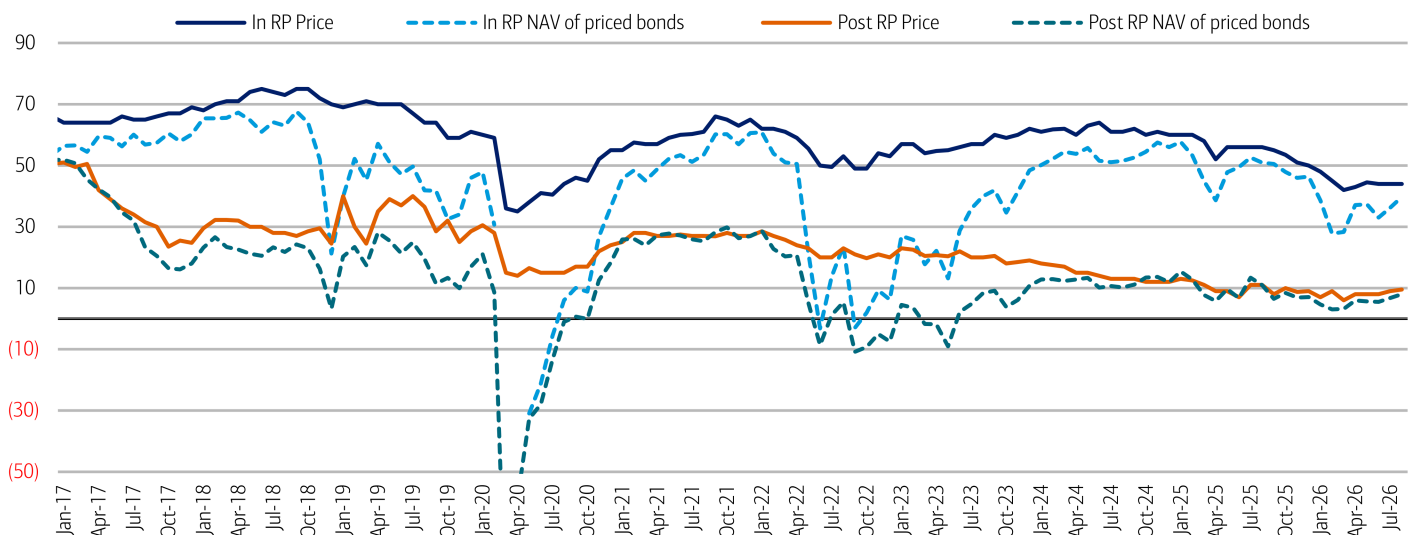


Source: BofA Global Research, Bloomberg, LCD

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Exhibit 34: Equity prices and NAV over time

NAV recovered by 3.5pts in Aug



Source: BofA Global Research, PriceServe, Intex

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CLO equity price & NAV evolution

The charts below show how equity prices have typically evolved over time as the deal nears the end of reinvestment. **The decay in equity prices was almost uniform across vintages** as the deal aged and got closer to the end of reinvestment. Moreover, equity prices have generally traded in a tight band of each other across vintages based on the months left to RP end.

Thus, there was **limited tiering by vintage but a lot more tiering across CLO managers**.

Equity prices are typically a function of the Interest or the Cash-on-cash component holders receive and the long term value of the Principal or NAV component investors are expected to receive.



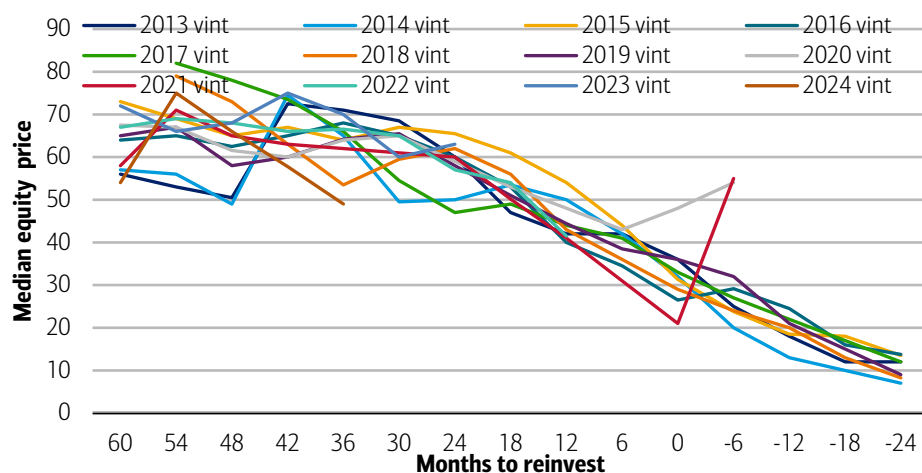
The principal / NAV component typically reduces due to trading losses and/or defaults. Additionally, the Interest or cash -on-cash component also reduces once the deal is closer to the end of the reinvestment period as amortizations will reduce the value of the cash-on-cash distribution.

As such, the equity prices are thus much closer to equity NAV levels as they are more prone to deal calls.

In a market with higher share of loans trading above par, equity prices are likely pricing closer to NAV as the possibility of deal calls are high. In a discount loan environment, they trade at a slight premium to NAV as the cash-on-cash vs equity price component (or the Dividend Yield) is very meaningful (30-50%).

Exhibit 35: CLO Equity price evolution by reinvestment end by vintage

Over time CLO equity prices decay as the IO value and equity NAV levels decline

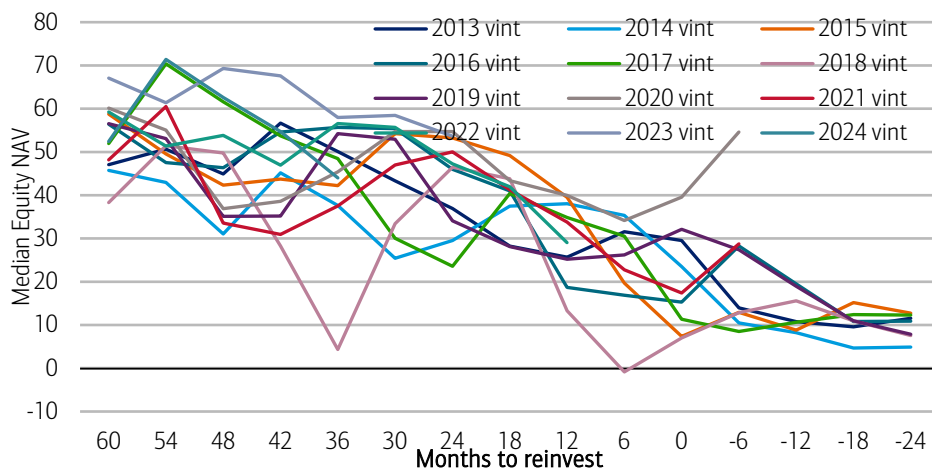


Source: BofA Global Research, Intex, PriceServe

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Exhibit 36: CLO Equity NAV evolution by reinvestment end & by vintage

Over time CLO equity prices decay as the IO value and equity NAV levels decline

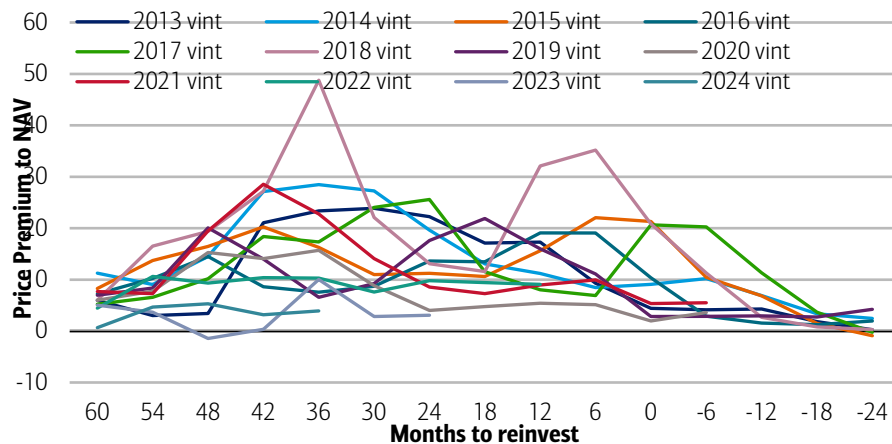


Source: BofA Global Research, Intex, PriceServe

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Exhibit 37: CLO Equity Price Premium to NAV evolution by reinvestment end & by vintage

2023-2024 vintage at historically tight premium

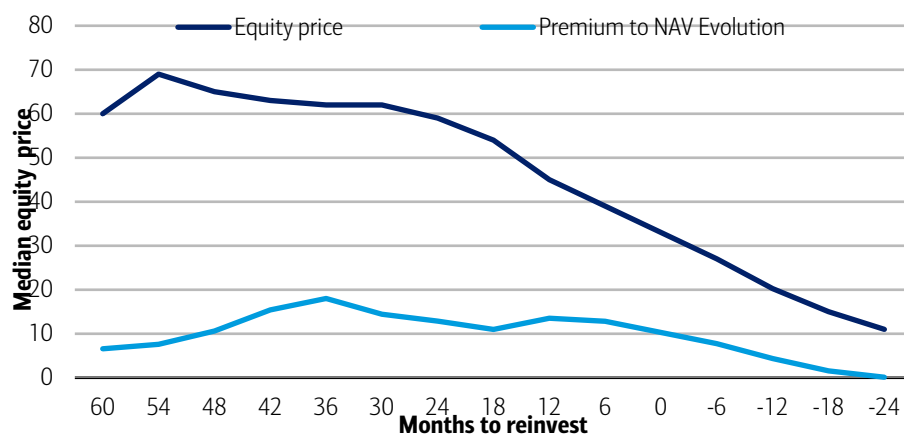


Source: BofA Global Research, Intex, PriceServe

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Exhibit 38: The value of the equity cash on cash component reduces as the deal gets closer to end of RP

Median Equity price vs premium to NAV vs months to reinvest

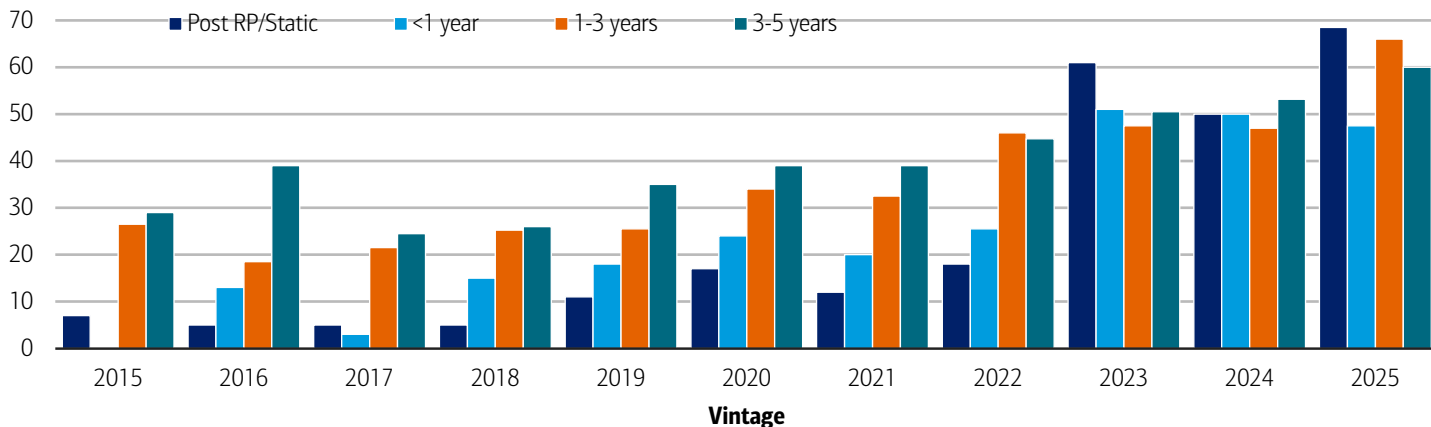


Source: BofA Global Research, Intex, PriceServe

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Exhibit 39: Current equity price by vintage & years left in RP

Price is generally higher for deals with longer time left in RP across vintages



Source: BofA Global Research, Intex

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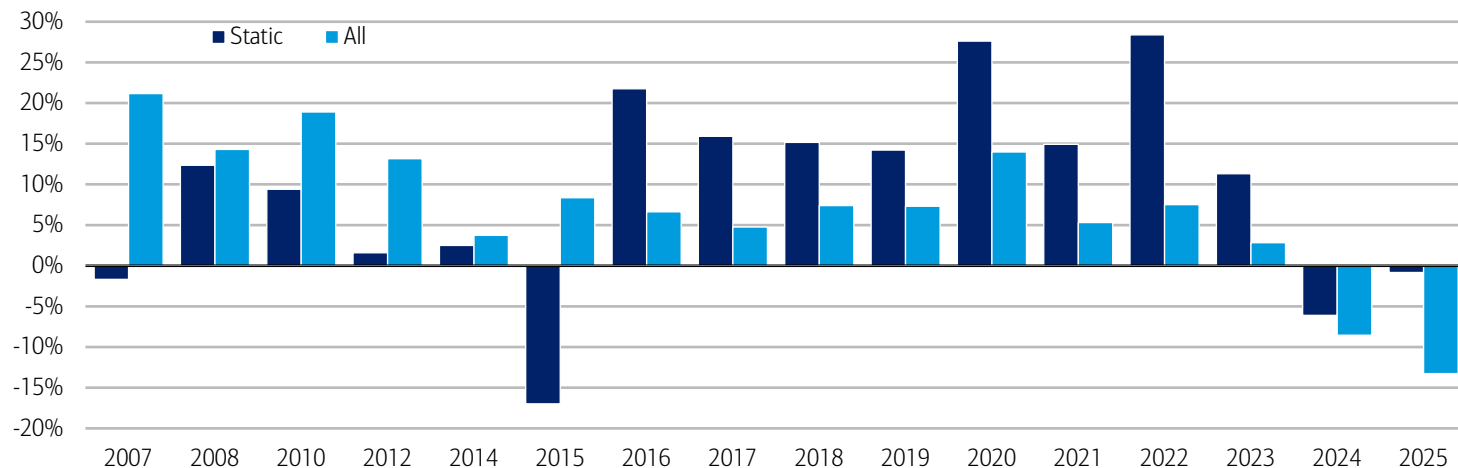


Stay put for higher: Static deals outperform

We show below median IRR by vintage of static deals and all BSL CLO. Starting from 2016 vintages, static deals have strongly outperformed regular deals with IRR ranging from 14% to 30%.

Exhibit 40: Median CLO Equity IRR by Vintage - Static vs All

Static deals have seen high returns in 2016 and after vintages



Sources: BofA Global Research, Intex

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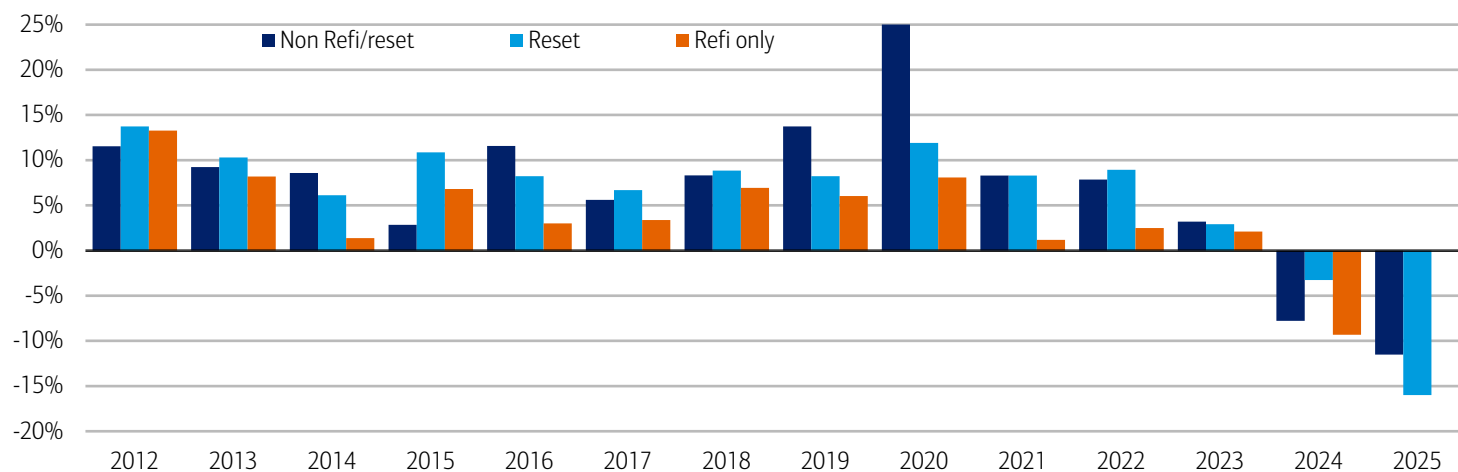
Do refi/reset activities create a difference?

We break CLO deals into cohorts that have been reset or refi-ed, and neither of the activities.

For 2012-2022 vintages, reset deals mostly have higher LTD IRR vs deals that have only been refi-ed or no activities at all.

Exhibit 41: CLO Equity IRR - All BSL deals

Redeemed & outstanding included: 2020 non-refi/reset deals outperform with 28% IRR, significantly higher than other vintages



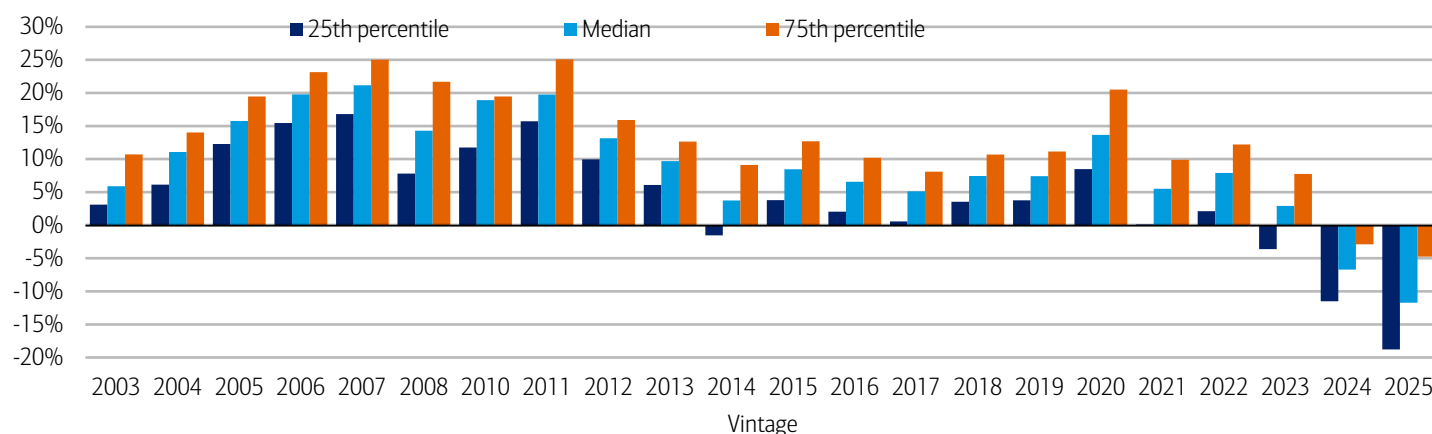
Sources: BofA Global Research, Intex

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Lifetime Performance by vintages

Exhibit 42: CLO Equity IRR - All BSL deals

2024 & 2025 vintages have seen negative returns due to par loss & loan repricing etc.

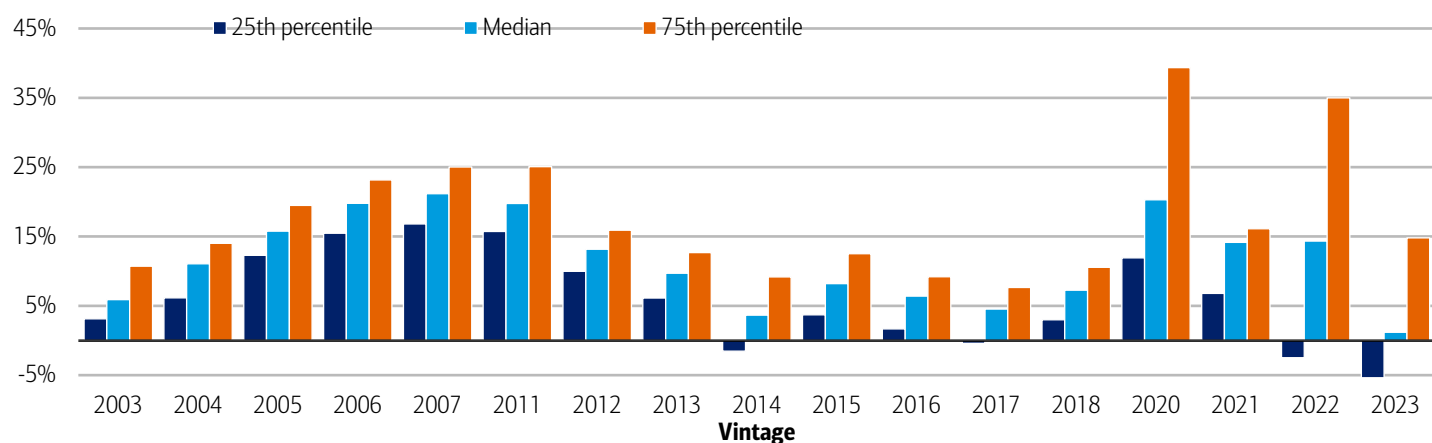


Sources: BofA Global Research, Intex

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Exhibit 43: CLO Equity IRR - Redeemed deals

Life-to-date IRR of redeemed deals: 2020 & 2022 vintage outperform

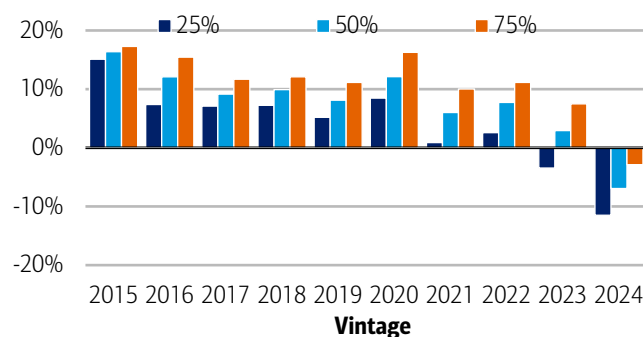


Sources: BofA Global Research, Intex

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Exhibit 44: CLO equity returns distribution - In RP Outstanding deals

All equity distributions to date, accounting for resets, assuming purchase price \$90 and exit at higher of current levels (from PriceServe) and NAV. Only on within RP non-reissue outstanding deals with price data available. Leverage ratio filters apply.

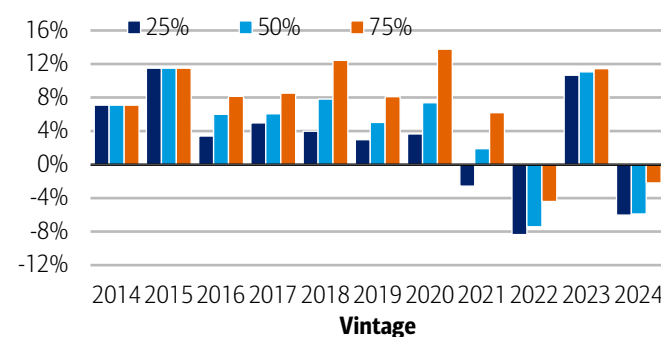


Source: BofA Global Research, Bloomberg, Intex, PriceServe

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Exhibit 45: CLO equity returns distribution - Out RP Outstanding deals

All equity distributions to date, accounting for resets, assuming purchase price \$90 and exit at higher of current levels (from PriceServe) and NAV. Only on out of RP non-reissue outstanding deals with price data available. Leverage ratio filters apply.



Source: BofA Global Research, Bloomberg, Intex, PriceServe

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2.0 Equity return on Vol & correlation

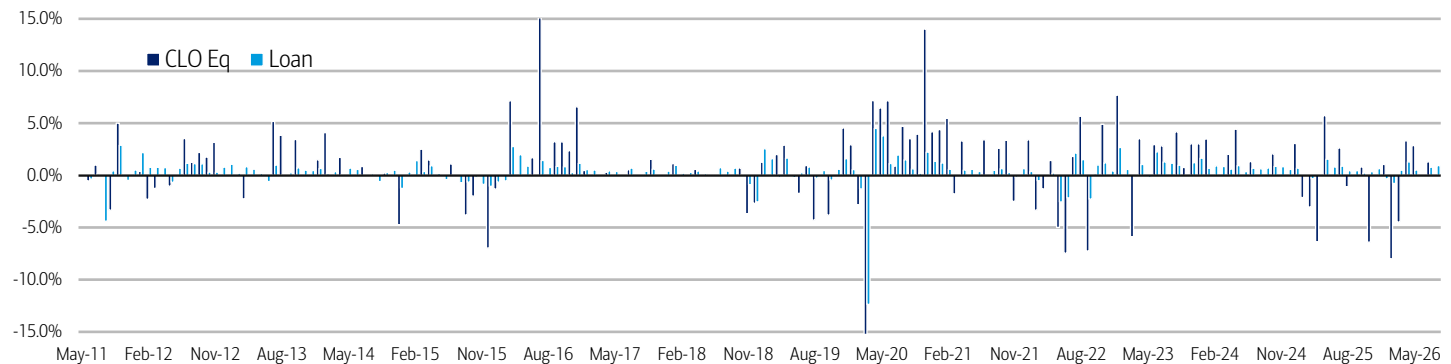
We look at monthly returns of CLO equity vs loan, HY & IG corps. From 2011 to date, the annualized monthly return of CLO equity stands at 7.8%, higher than loan at 5% and HY at 6%.

However, CLO equity also shows higher volatility – partially due to its quarterly payment attribution. The return per unit of volatility is highest for loans.

We also look at correction of historical monthly returns between CLO equity vs loan, HY and S&P 500 on a rolling 12M basis. Correlation has historically been higher between CLO equity & loans.

Exhibit 46: Monthly total returns of CLO Equity, Loan

CLO equity monthly returns appear to be higher over time by 1%-2% each month

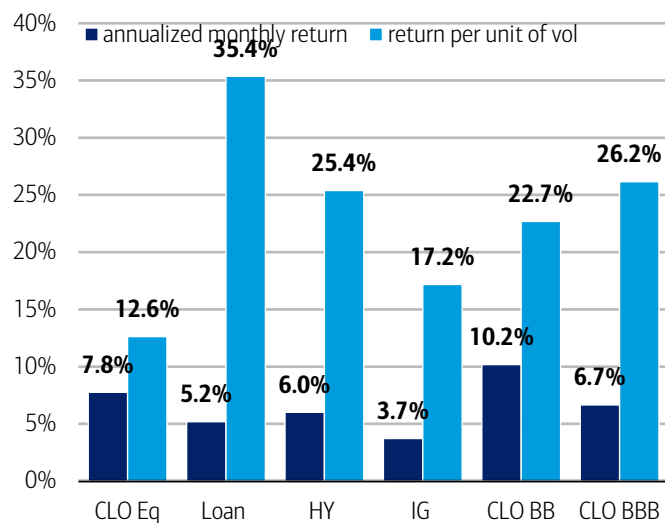


Source: BofA Global Research, LCD, Intex, Bloomberg, ICE

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Exhibit 47: Annualized average monthly returns & return on volatility

CLO eq show higher annualized historic monthly return of about 8% but also higher volatility vs loan & corp bonds. Loans have highest monthly return per unit of volatility.

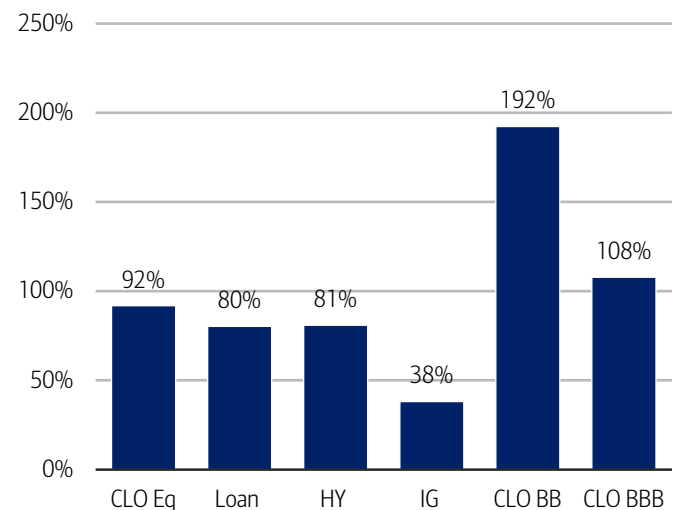


Source: BofA Global Research, LCD, Intex, Bloomberg, ICE

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Exhibit 48: 10-year cumulative returns of CLO Equity, CLO BB, Loan, HY & IG

From 2015 to date, CLO equity has returned ~92%, higher than loan/HY of 80%. CLO BB outperforms with ~192%.

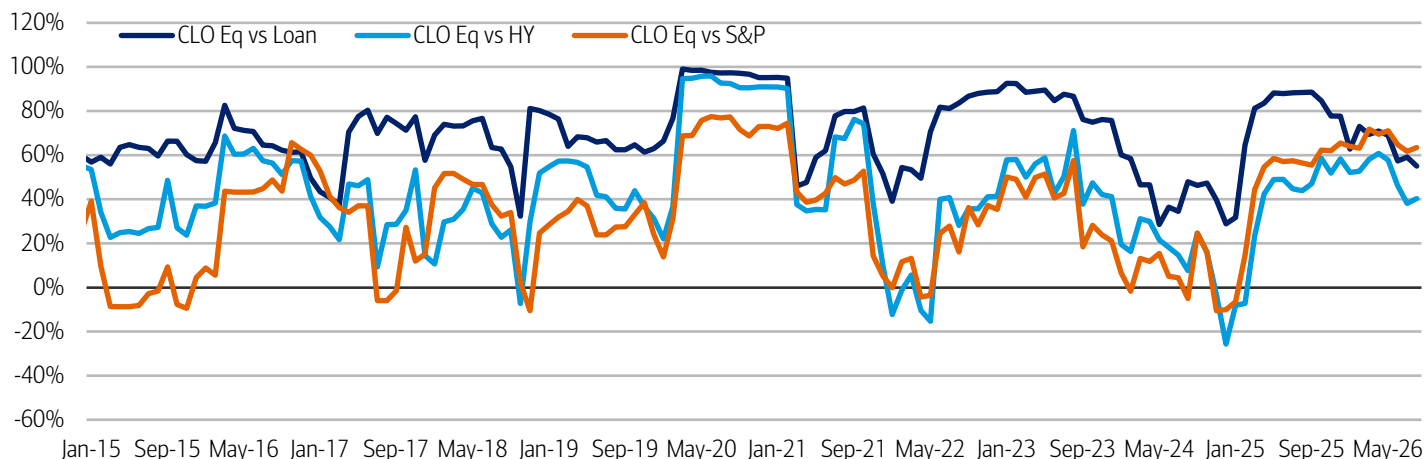


Source: BofA Global Research, PriceServe, LCD, Bloomberg

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Exhibit 49: CLO Equity vs Loan/HY/S&P monthly return correlation (rolling 12M, since 2015)

Correlation has historically been higher between CLO equity & loans.



Source: BofA Global Research, PriceServe, LCD, Bloomberg

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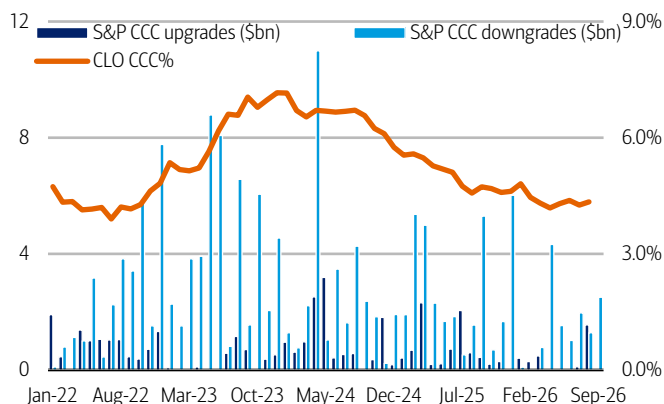
CCC upgrades/downgrades

The pace of CCC downgrades remains significant for loans in CLOs. 2026 YTD we have seen **\$10.6bn** of net CCC downgrades, compared to **\$25.7bn in 2025**, and **\$19bn in 2024**. The downgrades are driven majorly by inflation and supply chain pressure, rising material and labor costs, high leverage and weaker operating performance. More recently, policy uncertainty and tariffs are adding additional pressures.

In 2026 YTD, net upgrades totaled \$11bn.

Exhibit 50: CCC upgrades/refis/downgrades over time (\$mn) from 2022 to 2026 YTD, along with share of CCC in CLOs

2025 saw net CCC downgrades of \$25.7bn. Net CCC downgrades of \$10.6bn in 2026 YTD.



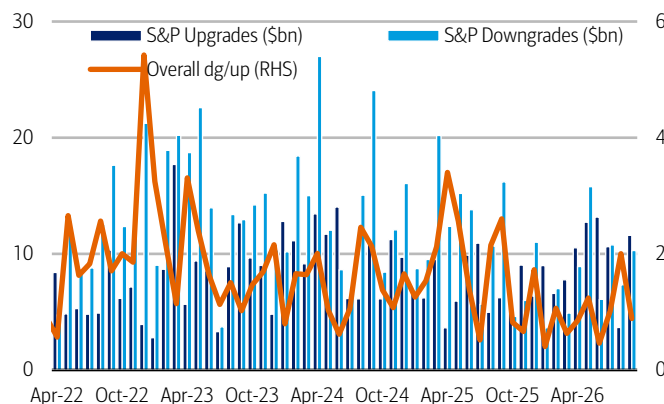
Note: S&P Issuer ratings with negative watches treated as a 1-notch downgrade

Source: BofA Global Research, Intex, S&P

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Exhibit 51: S&P rating actions & downgrade/upgrade ratio from 2022 to 2026

The loan downgrade/upgrade ratio at 0.9 in September month as overall upgrades outpaced downgrades.



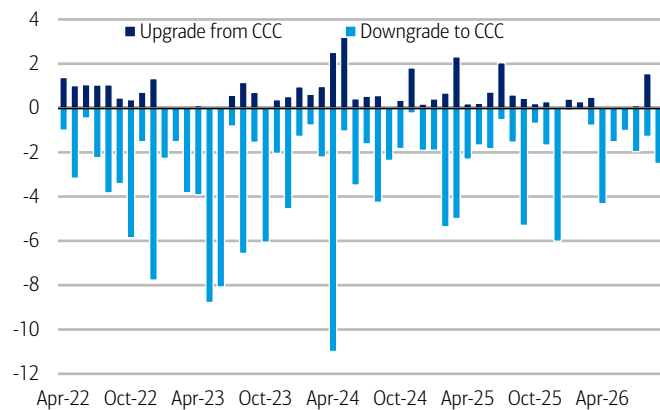
Source: BofA Global Research, Bloomberg, S&P

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Exhibit 52: CCC upgrades/refis/downgrades over time (\$bn) from 2022 to 2026 YTD

Net CCC downgrades of ~\$10.6bn seen in 2026 YTD.



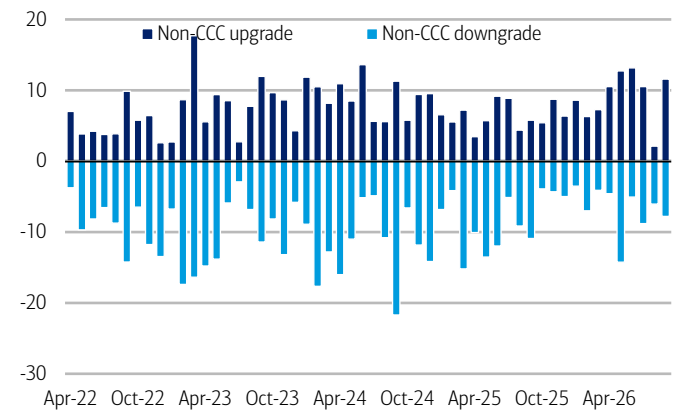
Note: S&P Issuer ratings with negative watches treated as a 1-notch downgrade

Source: BofA Global Research, Intex, S&P

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Exhibit 53: Non-CCC upgrades/refis/downgrades over time (\$bn) 2022-2026 YTD

Net non-CCC upgrades of \$21.6bn in 2026 YTD.



Note: S&P Issuer ratings with negative watches treated as a 1-notch downgrade

Source: BofA Global Research, Intex, S&P

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Exhibit 54: Top 10 loans with price gain MTD

Most top issuers with price gain of 5-16pts MTD

Issuer	Industry	Issuer Rating	Change in Price	Current Price	Current Exposure (\$mn)
Vaco Hldgs LLC	Professional & Business Services	B-	8	90	3521
CAST CREW LLC	Professional & Business Services	CCC+	7	41	1698
PERFORCE SOFTWARE INC	Computers & Electronics	B-	6	53	1512
ARC FALCON I INC	Chemicals	B	5	96	1217
Embecka Corp	Healthcare	B	6	85	528
COOLSYS INC	Retailing	CCC+	16	86	424
LASERSHIP INC	Transportation	CCC+	6	47	339
Sabre Inc	Gaming And Hotels	B-	6	94	319
Domtar Corp	Forest Products	CCC+	10	80	247
AUDACY CAP LLC	Media	B-	6	92	210

Source: BofA Global Research, Intex, Bloomberg, Markit

Note: Loans with greater than \$100mn exposure are considered here

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Exhibit 55: Top 10 loans with price decline MTD

Most top issuers with price decline of >4pts MTD

Issuer	Industry	Issuer Rating	Change in Price	Current Price	Current Exposure (\$mn)
FORTNA GROUP INC	Computers & Electronics	CCC-	-9	6	1731
IHEARTCOMMUNICATIONS INC	Media	CCC+	-5	88	1115
IVANTI SOFTWARE INC	Computers & Electronics	CCC	-11	32	628
SWF HLDGS I CORP	Textile & Apparel Mfg.	CCC+	-4	52	561
Getty Images Inc	Printing & Publishing	B-	-10	65	551
ACRISURE LLC	Insurance	B	-10	81	318
NEW SPARTECH HLDGS LLC	Chemicals	CCC+	-22	55	307
OIDOL INTER I LLC	Computers & Electronics	CCC+	-5	52	307
PLANO HOLDCO INC	Professional & Business Services	B	-6	72	199
Telesat Cda	Telecommunications	CCC-	-6	83	154

Source: BofA Global Research, Intex, Bloomberg, Markit

Note: Loans with greater than \$100mn exposure are considered here

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Weekly market recap

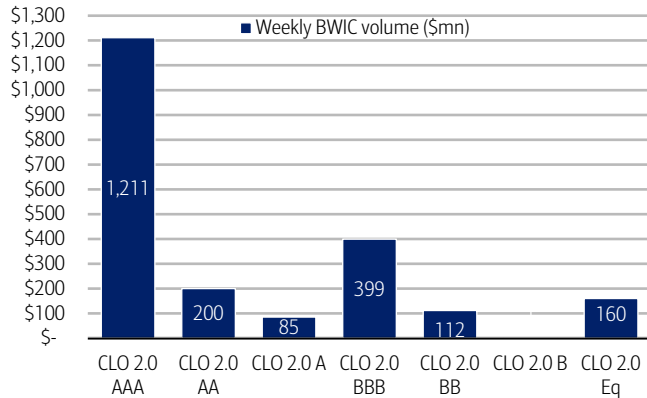
Secondary market

Overall BWIC volume decrease to ~\$2.17Bn this week compared to volume of \$2.48Bn last week in the CLO market with majority driven by CLO 2.0 AAAs (~56%)

CLO 2.0 secondary spreads were largely stable week-over-week, with AAA spreads widening modestly by 2 bps to 120 bps, while AA, A, BBB, and BB spreads remained unchanged at 145 bps, 170 bps, 265 bps, and 725 bps, respectively.

Exhibit 56: Weekly BWIC volume (\$mn)

Overall BWIC volume decrease to ~\$2.17Bn this week compared to volume of \$2.48Bn last week in the CLO market with majority driven by CLO 2.0 AAAs (~56%)

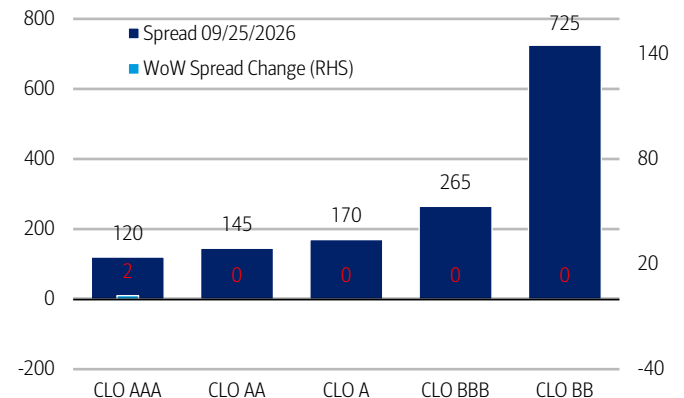


Source: BofA Global Research

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Exhibit 57: WoW spread change, bps

WoW spreads were broadly stable, with AAAs widening 2 bps to 120 bps and BBs remaining at 725 bps.



Source: BofA Global Research

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Primary & Secondary supply

Secondary supply volume is \$8.9bn MTD.

Combined primary and secondary volume YTD is at \$466.7bn (New issue/refis+resets+reissues/secondary at \$120bn/\$226.5bn/120.2bn YTD).

Exhibit 58: US BSL/MM CLOs that priced in the new issue market this week

8 deals got priced this week (7BSL, 1MM/PC), bringing the 2026 YTD new issue volume to \$119.99bn

Pricing Date	Deal	Manager	Size (\$mn)	Middle Market	Reinv. (yrs)	Non-Call (yrs)	AAA	AA	A	BBB	BB	B
9/24/26	DS2 CLO 1	DS2 Capital	510	No	5	2.0	(129)	(155)	(179)	(286)	(525)	
9/24/26	Magnetite LVI	BlackRock	508	No	5	2.0	(119)	(140)	(166)	(239)	(450)	
9/21/26	Brightwood Capital MM CLO 2026-1	Brightwood	254	Yes	4	2.0	161.0	215	260	488	785	
9/23/26	CIFC Funding 2026-IV	CIFC	511	No	5	2.0	119.0	145	166	241	460	
9/21/26	CQS US CLO 8	CQS	505	No	5	2.0	(125)	(155)	(180)	(278)	(540)	
9/18/26	Arini US CLO IX	Arini	404	No	5	2.0	123.0	150	170	235	500	
9/18/26	HPS Loan Management 2026-29	HPS	507	No	5	2.0	120.0	145	169	257	480	
9/18/26	MidOcean CLO XXIV	MidOcean	409	No	5	2.0	122.0	148	171	285	500	

Source: BofA Global Research, LCD, Bloomberg

Note: Spreads based off SOFR. pricing DMs are weighted average of all floating rate tranches within each rating bucket / when no DM is available, coupon spread is in ()

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Exhibit 59: Refi/reset/reissue transactions priced this week

4 Reset and 8 Refi deals got priced this week

Pricing Date	Ticker	Manager	Size (\$mn)	Type	Times Refi'd	Non-call (yrs)	Reinv. (yrs)	WA AAA spread
9/21/26	OAKCL 2022-3	Oaktree	418	Reset	2	2.0	5.1	120
9/23/26	MVEW 2019-1	Seix	322	Refi	2	0.5	0.1	104
9/24/26	BCC 2022-2	Bain	538	Refi	2	0.8	0.6	97
9/24/26	RRAM 2026-48	Irradiant	460	Reset	1	2.1	5.1	122
9/19/26	TCW 2018-1	TCW	340	Refi	4	0.5	1.1	104
9/19/26	MDPK 2021-59	CSAM	574	Refi	2	1.0	2.6	120
9/19/26	RIN 2024-2	RREEF America	408	Reset	1	1.6	3.1	127
9/19/26	KLLM 5	Generate	398	Refi	2	1.0	2.8	120
9/19/26	DCLO 2024-8	Diameter	417	Reset	1	2.1	5.1	120
9/19/26	TRNTS 2021-17	Whitestar	420	Refi	2	0.5	0.1	94
9/19/26	REG12 2019-1	Napier Park	372	Refi	3	1.1	3.1	118
9/18/26	INVC0 2022-1	Invesco	486	Refi	1	0.5	0.6	95

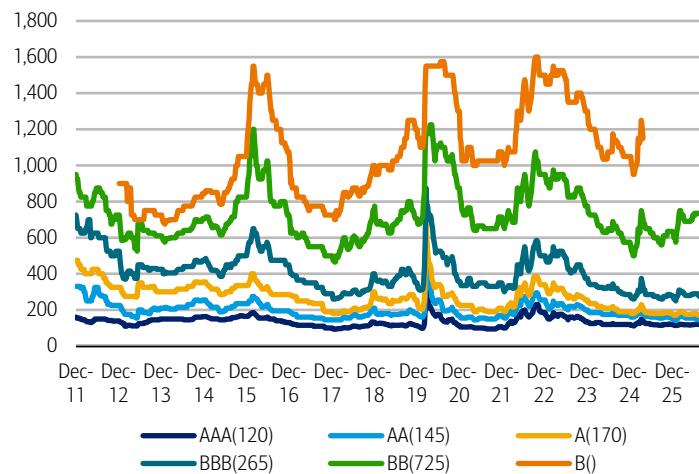
Note: Spreads based off SOFR.

Source: BofA Global Research, Bloomberg, LCD, Intex

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CLO Spread**Exhibit 60: Generic US CLO 2.0 secondary spread levels**

WoW spreads were broadly stable, with AAAs widening 2 bps to 120 bps and BBs remaining at 725 bps.

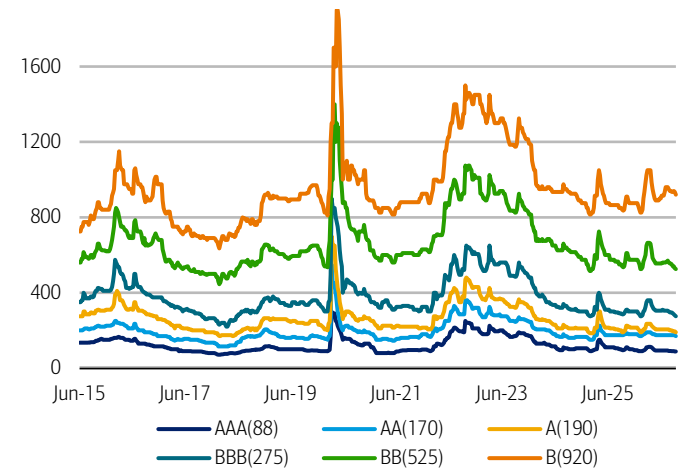


Source: BofA Global Research

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Exhibit 61: Generic Euro CLO 2.0 secondary spread levels

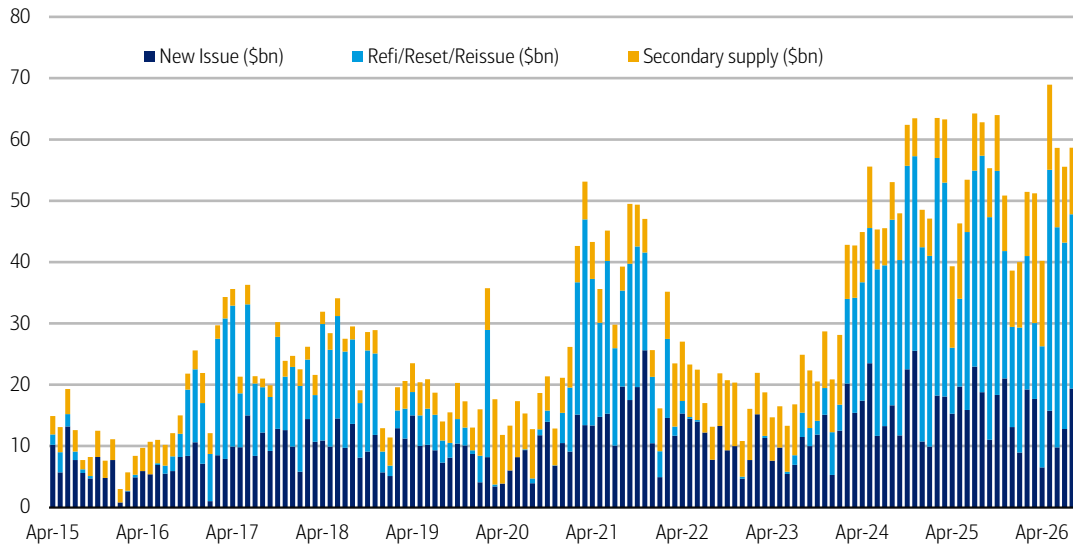
EUR CLO spreads tightened WoW, with AAA at 88 and BB at 525.



Source: BofA Global Research

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Exhibit 62: Monthly Trace and Primary market volumes since 2015, 2021 & 2024-2025 show higher activity
Currently, total supply at \$42.1bn MTD.



Source: BofA Global Research, Bloomberg

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CLO Issuance

Exhibit 63: Global CLO issuance (\$mn)

\$120B new issue has been priced in 2026 YTD

	US BSL (\$)	US Refi/Reset (\$)	US Reissue (\$)	US MM (\$)	US Static (\$)
2025-01	7,373	31,105	-	2,537	-
2025-02	14,101	37,832	925	3,501	631
2025-03	13,927	34,378	505	4,157	-
2025-04	12,488	10,762	-	2,289	502
2025-05	16,980	14,333	-	2,712	-
2025-06	12,733	27,030	1,973	2,555	601
2025-07	18,463	31,339	643	4,483	-
2025-08	13,649	36,954	1,612	5,139	-
2025-09	7,177	35,710	598	3,850	-
2025-10	15,281	36,023	503	3,057	-
2025-11	18,058	20,778	-	2,306	650
2025-12	9,547	16,344	-	3,541	-
2026-01	6,944	20,384	-	2,007	-
2026-02	14,785	21,318	455	4,439	-
2026-03	14,598	12,372	-	3,093	-
2026-04	4,194	19,770	-	1,809	497
2026-05	12,129	39,289	-	3,630	-
2026-06	6,463	35,443	456	3,319	-
2026-07	10,702	30,392	-	2,078	-
2026-08	15,030	28,030	372	4,361	-
2026-09	7,450	17,251	966	2,457	-
2026 YTD	92,294	224,250	2,249	27,194	497

Source: BofA Global Research, LCD Pitchbook, Intex, Bloomberg

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Appendix

Exhibit 64: Common Terminology

Collateralized Loan Obligations (CLO)

Acronyms	Description	Acronyms	Description
A to E	Amend to extend	LBO	Leveraged buyout
ABCP	Asset-backed commercial paper	LCF	Last cash flow
ABS	Asset Backed Securities	LGD	Loss Given Default
AIFM	Alternative Investment Fund Managers	LIBOR	London Interbank Offered Rate
AIFMR	EU financial regulation of hedge funds, private equity, real estate funds and other alternative investment fund managers	Liquidation NAV	NAV assuming portfolio can be liquidated immediately
ALS	Average Loan Size	LL	Leveraged loan
AMA	Asset manager affiliate	LLI	Leveraged loan index
AMF	Financial Markets Authority (France)	LTM	Last-twelve-months
AUM	Assets under management	LME	Liability management exercise
BaFin	Federal Financial Supervisory Authority (Germany)	M&A	Mergers and acquisitions
BDC	Business development company	MBS	Mortgage-Backed Security
BLS	Bureau of Labor Statistics	MEP	Member of European Parliament (EU)
BPS	Basis points	MM CLO	CLO backed primarily by middle-market loans
BSL CLO	CLO backed primarily by broadly syndicated loans	MOA	Majority owned affiliate
BWIC	Bid Wanted In Competition	MoM	Month over Month
CBO	Collateralized bond obligation	MTD	Month to date
CDO	Collateralized debt obligation	MTM	Mark to market
CDR	Constant default rate	MVOC	Market value overcollateralization
CE	Credit Enhancement	NAIC	National Association of Insurance Commissioners
CEE	Central and Eastern Europe	NAV	Net asset value
CFPB	Consumer Financial Protection Bureau	Non-QM	Non-Qualified Mortgages
CLO	Collateralized loan obligation	NR	Non-rated
CLTV	Combined Loan-to-value ratio or Current Loan-to-value ratio	NSFR	Net Stable Funding Ratio
CMBS	Commercial mortgage backed security	N-Spread	Nominal spreads to swaps
CMV	Capitalized management vehicle	NY Fed	The Federal Reserve Bank of New York
Cov-Lite	Covenant-lite	O&G	Oil and gas
CPR	Constant prepayment rate	OAS	Option-adjusted Spreads
CQS	Credit quality step	OC	overcollateralization
CQT	Collateral quality tests	OCI	Other Comprehensive Income
CRD	Capital Requirements Directive (EU)	OID	Original issue discount
CRR	Capital Requirements Regulation (EU)	OLTV	Original Loan-to-value ratio
CRT	Credit Risk Transfer	OTR	On the run
DD	Due diligence	OWIC	Offer wanted in competition
DIV	Diversity Score	PIK	Payment in kind
DM	Discount Margin	PPT	Portfolio profile tests
DQ	Delinquency	PRA	Prudential Regulation Authority (UK)
DTI	Debt-to-Income ratio	QE	Quantitative Easing
EBA	European Banking Authority	QM	Qualified Mortgages
EBITDA	Earnings before interest, tax, depreciation and amortization	R&W	Representation and warranty
EC	European Council (EU)	RCF	Revolving credit facility
EComm	European Commission (EU)	REIT	Real estate investment trust
EDSF	Euro Dollar Swap FRA	rel-val	Relative value
EL	Expected Loss	RMBS	Residential Mortgage-Backed Security
ELLI	European Leveraged Loan Index	RP	Reinvestment Period
EOD	Event of default	RR	Risk retention
EP	European Parliament (EU)	RTS	Regulatory Technical Standards (EU)
EPFR	Emerging Portfolio Fund Research	RWA	Risk Weighted Assets
ESAs	European Supervisory Authorities (EU)	SCB	Stress Capital Buffer
ESG	Environmental, Social and Governance	SEV	Severity
ESMA	European Securities Market Authority	SL	Student loan
EU	European Union	SME	Small and medium enterprise
Euribor	European interbank offered rate	SOFR	The Secured Overnight Financing Rate
FCA	Financial Conduct Authority (UK)	Solvency II	EU insurance regulation
FCF	Front cash flow	SONIA	Sterling overnight interbank average rate
Fed or FRB	Federal Reserve Board	SR OC	Senior overcollateralization
FFELP	The Federal Family Education Loan Program	SRT	Significant Risk Transfer
FICO	Fair Isaac Corporation	SSM	Single Supervisory Mechanism (EU)
FINRA	Financial Industry Regulatory Authority	STC	Simple Transparent and Comparable Securitization
FNMA	Federal National Mortgage Association	STS	Simple Transparent and Standardized Securitization
GDP	Gross domestic product	TLA	Term loan A
GFC	Global Financial Crisis	TLB	Term loan B
Ginnie Mae	Government National Mortgage Association	TRACE	Trade Reporting and Compliance Engine
		TRUPS	Trust preferred securities



Exhibit 64: Common Terminology

Collateralized Loan Obligations (CLO)

Acronyms	Description	Acronyms	Description
GNMA or GNR	Government National Mortgage Association	UCITS	Undertakings for the Collective Investments in Transferable Securities
HAMP	Home Affordable Modification Program	UST	United States Treasury
HARP	Home Affordable Refinance Program	WAC	Weighted average coupon
HY	High Yield	WAL	Weighted average life
IAA	Internal Assessment Approach	WALA	Weighted average loan age
IC	Interest coverage	WAM	Weighted Average Maturity
ID	Interest diversion	WAP	Weighted average price
IG	Investment grade	WARF	Weighted average rating factor
IO	Interest-only mortgages or tranches	WARR	Weighted average recovery rate
IPO	Initial public offering	WAS	Weighted average spread
IRR	Internal rate of return	WAVG	Weighted average
ISM	Institute for Supply Management	WoW	Week over Week
ITS	Implementing Technical Standards (EU)	YoY	Year over Year
JHF	Japanese Housing Finance Agency	YTD	Year to date
JR OC	Junior overcollateralization	YTM	Yield to maturity

Source: BofA Global Research

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